KASIKORNTHAI

Management Discussion and Analysis (MD&A)

For the Year Ending December 31, 2025

ธนาคารกสิกรไทย
开泰银行 KASIKORNBANK

บริการทุกระดับประทับใจ

Executive Summary of Management Discussion and Analysis
For the Year Ending December 31, 2025

In 2025, Thailand's economy faced pressure from both structural challenges and negative factors that gradually emerged throughout the year. Industrial production grew unevenly, while the tourism sector recovered more slowly than expected. At the same time, domestic spending weakened, as household consumption was constrained by elevated household debt and an uneven recovery in incomes. Uncertainty surrounding US tariff measures and domestic political developments weighed on private-sector investment decisions. Although exports recorded strong growth owing to front-loaded shipments ahead of the implementation of US tariffs, and domestic interest-rate reductions provided some relief to borrowers' financial burdens, these factors were insufficient to counterbalance the broader economic slowdown.

In 2026, the Thai economy is expected to decelerate further as external headwinds intensify, including US tariff measures, trade disputes between the US and its trading partners, and sluggish global economy, all of which are likely to exert downward pressure on Thailand's export sector. Meanwhile, private spending, both consumption and investment, is projected to expand only within a limited range amid economic uncertainty, as is government spending, which may provide only modest support despite still playing a vital role in sustaining the economy.

Amid internal and external challenges affecting business operations across multiple dimensions, KBank and its subsidiaries continued to conduct business with prudence, guided by the K-Strategy 3+1 and Productivity while fostering K-Culture that places importance on good corporate governance and appropriate risk management. Our goal is to deliver sustainable value to all stakeholders, including depositors, investors, retail customers, and business clients while providing stable returns to shareholders. In addition, the Bank remained fully committed to supporting government initiatives to assist customers amid an uncertain economic environment.

For operating performance in 2025, the Bank and its subsidiaries reported net profit attributable to equity holders of the Bank of Baht 49,565 million, almost on par with the previous year. Operating profit before expected credit loss and income tax expense was Baht 109,951 million, a decrease of Baht 4,043 million or 3.55 percent from the previous year. This decline was mainly due to the lower interest environment, lending rate cuts during the year to assist customers and a slowdown in loan growth, which led to net interest income of Baht 137,152 million, a decrease of Baht 10,852 million or 7.33 percent. As a result, net interest margin (NIM) declined to 3.23 percent. Meanwhile, non-interest income totaled Baht 57,648 million, an increase of Baht 7,408 million or 14.75 percent, due mainly to growth in insurance service result; growth in net fees and service income, primarily from customer's wealth management service in line with market conditions; and gains on financial instruments and investment income, driven by an investment diversification strategy and the generation of appropriate returns in alignment with prevailing market conditions. Other operating expenses, including additional special project expenses related to employee support, amounted to Baht 84,849 million, a slight increase of Baht 599 million or 0.71 percent, Cost to income ratio therefore stood at 43.56 percent.

Additionally, the Bank and its subsidiaries set aside expected credit loss of Baht 40,312 million for 2025, a decrease of Baht 6,939 million or 14.69 percent over-year. The Bank and its subsidiaries maintained our consistently prudent approach to ensure that the level of our expected credit loss is appropriate and sufficient to withstand economic uncertainties. As a result, our expected credit loss to average loans for 2025 stood at 1.63 percent, and our coverage ratio as of December 31, 2025 was equal to 162.75 percent.

With regard to our capital position, capital adequacy ratio (CAR) of KASIKORNBANK FINANCIAL CONGLOMERATE according to the Basel III Accord was 20.35 percent, with a Tier 1 capital ratio of 18.38 percent and Common Equity Tier 1 Ratio of 18.00 percent, both of which were greater than the Bank of Thailand's requirement. This reflects the Bank's strong and sufficient capital position to support ongoing business operations under both normal and stressed conditions. The Bank remains committed to efficient capital management to maintain an optimal capital structure and support sustainable growth.

The operating performance of the subsidiaries of KBank in terms of quantity and quality achieved the targeted business goals and remained aligned with prevailing economic conditions, driven by the execution of core strategies, efficiency enhancement and the pursuit of new revenue streams over the medium and long term while maintaining a customer-centric approach. KASIKORN ASSET MANAGEMENT CO., LTD. maintained its leadership in the mutual fund business. Meanwhile, KASIKORN SECURITIES PCL focused on enhancing service quality standards, both in terms of product diversity and a comprehensive online investment platform. KASIKORN LEASING CO., LTD. developed digital innovations to strengthen business and improve customer experience alongside income and expense optimization to maintain returns amid constraints on credit extension and market-driven challenges in asset quality. At the same time, KASIKORN FACTORY & EQUIPMENT CO., LTD. expanded its equipment leasing for new industries and the clean energy industry in line with the Bank's strategic directions. Additionally, Muang Thai Life Assurance PCL prioritized collaboration with KBank in developing life and health insurance products, with a focus on offering coverage options tailored to the needs of customers across all segments, to enhance its competitiveness against both domestic and international life insurers. Regarding market share, the company's new life insurance premiums in the bancassurance business ranked first in the industry.

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1. Overview of Operating Environment

1.1 Global and Thai Economy in 2025 and Outlook for 2026

In 2025, the global economy faced heightened uncertainty stemming from multiple factors, including US trade policies, elevated public debt levels in many countries, and geopolitical conflicts. The US economy began to show signs of slowing in the second half of the year, particularly in the labor market and consumer confidence, amid inflationary pressures on certain goods affected by tariff hikes. Meanwhile, the Eurozone economy continued to face political uncertainty and concerns over rising public debt in several countries, which further limited the scope for fiscal stimulus. As for China, although economic growth was broadly maintained in line with its official target, domestic demand remained weak, reflecting subdued private consumption and the troubled property sector that had yet to show a clear recovery, compounded by increasing fiscal constraints on government stimulus measures.

For 2026, the International Monetary Fund (IMF) projects global economic growth of 3.3 percent, almost on par with the 2025's level, supported by private consumption and investment in AI technologies. Nevertheless, geopolitical risks remain a key downside factor that could weigh on global trade. Monetary policy trajectories among major economies are expected to diverge: the US may have room for further policy rate cuts, while the Bank of Japan is likely to gradually raise interest rates to curb inflation that remains above target.

Regarding Thailand, economic growth in 2025 remained weak and below potential, reflecting pressure from both structural issues and adverse factors that accumulated throughout the year. Industrial production grew unevenly due to persistent constrains from weakened competitiveness and subdued domestic demand. The tourism sector recovered more slowly than expected due to a decrease in foreign tourist arrivals. Domestic spending continued to weaken, including household consumption, which was constrained by high household debt and a slow and uneven income recovery, as well as private investment, which was affected by US tariff measures and domestic political factors. Although exports expanded strongly as a result of front-loaded shipments ahead of the implementation of US tariffs, and Thailand's policy rate was reduced to 1.25 percent at the end of 2025, helping to ease financial burdens for borrowers and businesses, these factors were insufficient to offset the overall economic slowdown.

Thailand's economy in 2026 is expected to continue to decelerate amid intensified external headwinds and persistent domestic weaknesses. US tariff measures are expected to continue weighing on exports, manufacturing, and supply chains, while heightened geopolitical risks could further dampen global trade. On the domestic front, consumption and investment are likely to remain subdued, while public spending is expected to remain constrained. Although tourism is projected to recover further, it will face intensifying competition. Against the backdrop of continued economic uncertainty in 2026, Thailand's monetary policy is expected to remain accommodative, with further easing likely compared to the previous year.

1.2 Banking Industry

The operating performance of domestically listed commercial banks in 2025 continued to show net profits, although at a lower level compared with the previous year. Support from higher non-interest income, such as net gains on financial instruments measured at fair value through profit or loss (FVTPL) and net fees and service income, along with lower expected credit loss (ECL) provisions helped sustain overall performance amid pressure on net interest income from reduced interest rates and continued loan contraction. In terms of asset quality, commercial banks continued to proactively manage asset quality while accelerating debt restructuring. As a result, the non-performing loan (NPL) ratio at the end of 2025 increased only slightly compared with the level at the end of 2024.

As of December 31, 2025, the 17 domestically registered commercial banks recorded total outstanding loans to borrowers and net accrued interest of Baht 13.60 trillion, a decrease of 1.50 percent compared to the end of 2024, led chiefly by declines in SME and retail loan portfolios. Meanwhile, total outstanding deposits stood at Baht 16.48 trillion, an increase of 2.19 percent from the end of 2024, led primarily by growth in savings and current account deposits.

Financial statements of the commercial banking system, including foreign bank branches (C.B. 1.1 and C.B. 1.2), as of December 31, 2025, showed that KBank ranked second in terms of outstanding loans to borrowers and net accrued interest, with a market share of 15.87 percent. KBank ranked second in terms of deposits, holding a market share of 15.91 percent, and ranked third in total assets, accounting for a market share of 15.10 percent of the entire commercial banking system. Further details are available on the Bank's website: www.kasikornbank.com, under the Investor Relations section, Financial Reports subsection.

Looking ahead to 2026, Thailand's still-fragile and highly uncertain economic environment will remain a key challenge for commercial banks, particularly in lending, where careful assessment of borrowers' credit risk will be essential. Banks will also need to focus on cost management and continuously improve operational efficiency, while preparing to accommodate additional policy measures that may be gradually introduced, especially those aimed at providing relief to debtors. Additionally, competition from new service providers will require close monitoring, particularly virtual banks, which are expected to begin operations around mid-2026. Although the direct short-term impact may remain limited, this development represents an important development that commercial banks should carefully assess and prepare strategic responses for.

1.3 Significant Regulations and Rules related to Business Operations

In 2025, regulations and rules that may have affected KBank's and K Companies' business operations are as follows:

❑ Credit Risk Governance

Pursuant to four notifications of the Bank of Thailand, effective September 17, 2025, as follows:

■ BOT Notification No. 34/2568 Re: Regulations on Single Lending Limit, and BOT Notification No. 35/2568 Re: Permission for Commercial Banks to Conduct Factoring Business. These notifications revise the criteria to allow financial institutions to treat the Export–Import Bank of Thailand and insurance companies, subject to BOT-prescribed conditions, that provide trade credit insurance for trade finance and factoring transactions – where the financial institution is the beneficiary or an assignee of the beneficiary under the insurance policy – as debtors for Single Lending Limit calculation purposes, based on the insured value.

■ BOT Notification No. 36/2568 Re: Permission for Commercial Banks to Purchase or Accept the Transfer of Loan Receivables. This notification expands the scope to allow commercial banks to additionally purchase or accept the transfer of loan receivables from foreign commercial banks. These receivables must originate from syndicated loan agreements, and the loans must be classified as performing assets with no significant increase in credit risk.

■ BOT Notification No. 37/2568 Re: Permission for Commercial Banks to Conduct Credit Risk Transfer or Acceptance Risk Participation. The notification broadens the types of underlying assets to include factoring and guarantee transactions, and expanding the types of counterparties to include foreign insurance companies that are supervised by a regulatory authority and have investment-grade credit ratings. The revisions are intended to enhance the ability of commercial banks to conduct transactions and manage risks more effectively.

❑ Governance of Financial Business Group Structure and Business Scope

BOT Notification No. 5/2568 Re: Regulations on Criteria for Governance of Business Structure and Scope of Financial Business Groups of Commercial Banks (No. 2), effective February 27, 2025. This notification amends the existing criteria under the BOT Notification No. SorNorSor. 8/2564 by expanding the scope of green-related businesses for companies in financial business groups that are not commercial banks and parent companies. The aim is to support customers in their transition towards environmental policies and enhance the scope of venture capital businesses to provide greater flexibility in improving access to funding for the business sector.

❑ Governance of Shareholding in Financial Institutions and Holding Companies that are the Parent Companies of the Financial Business Groups, and Transactions with Major Shareholders or Related Parties of the Financial Institutions and the Financial Business Groups

Pursuant to five notifications of the Bank of Thailand, effective September 27, 2025, as follows:

■ BOT Notification No. 40/2568 Re: Criteria for Reporting Shareholding or Holding of Shares in a Financial Institution or a Holding Company that is the Parent Company of a Financial Business Group. The

notification stipulates that shareholding of 5 percent or more of the total issued shares requires shareholders to report such shareholding within three (3) business days. Additionally, mechanisms must be in place to monitor shareholders' behavior that may indicate control or dominance over the business.

■ BOT Notification No. 41/2568 Re: Criteria for Permission to Hold or Acquire Shares in a Financial Institution or a Holding Company that is the parent company of a financial business group. The notification provides clearer principles and an enhanced approval framework for shareholding that exceeds 10 percent of the total issued shares.

■ BOT Notifications No. 42/2568 and No. 43/2568 Re: Criteria and Relaxation of Regulations on Transactions with Major Shareholders or Related Lending. These notifications require financial institutions to supervise transactions involving major shareholders and their related parties, including the monitoring of transactions by former major shareholders and their affiliates. Furthermore, a relaxation is granted for transactions executed under original contracts bound prior to the entity becoming a major shareholder or a related party of the financial institution. In such cases, guidelines must be followed to bring the transaction volume into legal compliance within a specified timeframe.

■ BOT Notification No. 44/2568 Re: Criteria for Risk Governance of Financial Business Groups (No. 2). The notification stipulates criteria for transactions with related parties under the solo consolidation group, ensuring consistency with the criteria governing transactions with major shareholders or related parties of financial institutions.

❑ Lending

■ BOT Circular No. Wor.1965/2568 Re: Submission of the BOT Guidelines on Lending to Certain Business Sectors, effective March 12, 2025. The circular introduces additional expectations for financial institutions to exercise caution when granting loans that may facilitate circumvention of regulatory requirements. It establishes new requirements and key risk management guidelines for secured loans and removes redundant requirements.

■ BOT Notification No. 10/2568 Re: Temporary Relaxation of Regulatory Criteria for Housing Loans and Other Related Loans of Financial Institutions and Specialized Financial Institutions (SFIs), effective April 25, 2025. The notification temporarily relaxes the loan-to-value (LTV) ratio requirement to not exceed 100 percent for loan agreements entered into during May 1, 2025 to June 30, 2026. This applies to second and subsequent home loan contracts where the collateral value is less than Baht 10 million, and cases where the collateral value is Baht 10 million or more, applicable from the first home loan contract onwards.

❑ Hire Purchase and Leasing Business

■ Royal Decree prescribing that the hire purchase and leasing business for automobiles and motorcycles is subject to the Financial Institutions Business Act B.E. 2551 (2008) B.E. 2568 (2025), effective December 2, 2025. The decree requires operators to comply with transparency and good governance

standards. It also empowers the BOT to prescribe additional rules on consumer protection, interest rates, fees, and collateral.

■ BOT Notification No. 54/2568 Re: Designation of the Hire Purchase and Leasing Business for Automobiles and Motorcycles as a Financial Business and the Use of Names or Designations in Financial Business, effective December 2, 2025.

■ BOT Notification No. 55/2568 Re: Establishment of Criteria, Procedures, and Conditions for Conducting the Hire Purchase and Leasing Business for Automobiles and Motorcycles, effective December 3, 2025 and June 1, 2026. The notification establishes business operation guidelines to ensure responsible and fair customer treatment throughout the entire process.

❑ Establishment of Joint Ventures for Non-Performing Asset Resolution

BOT Notification No. 51/2568, effective November 7, 2025, sets out key criteria for establishing joint ventures to resolve non-performing assets. The notification emphasizes that the purchase or acceptance of asset transfers constitutes a "true sale", to ensure that the assets are genuinely removed from the seller's balance sheet. Such a joint venture may be established by commercial banks, specialized financial institutions, or financial business operators, in partnership with asset management companies. The joint venture must be registered within two years, and its operating period must not exceed 15 years.

❑ Debt Relief Measures

■ Circular No. BOT Wor.4306/2568 Re: Guidelines for Assisting Retail and SME Debtors for Commercial Banks and Companies within Business Groups, and Specialized Financial Institutions, Phase 2 (the "You Fight, We Help" program). This circular extends the application period for participation in the program from its original end date of June 30, 2025 to September 30, 2025. It also revises customer eligibility and participation conditions under the "Timely Repayment, Reserve Assets" and "Pay, Deal, Complete" measures, and introduces an additional "Pay, Write Down Principal" measure for unsecured loans, to broaden the scope of assistance to cover a wider range of debtors.

■ Three BOT circulars requesting cooperation in providing assistance to debtors affected by public disasters and civil unrest are:

(1) BOT Wor. 2302/2568, effective March 29, 2025, which designates earthquake-related disasters as public disasters eligible for assistance.

(2) BOT Wor. 4786/2568, effective July 25, 2025, requesting financial institutions to consider providing assistance, as necessary and appropriate, to debtors affected by the Thailand-Cambodia border situation.

(3) BOT Wor. 8158/2568 and 8159/2568 Re: Request for Cooperation in Providing Assistance to Debtors Affected by Public Disasters in Areas Designated as Extremely Severe Public Disaster Zones (Level 4), effective December 15, 2025. These circulars require consideration of additional assistance to severely affected debtors in Songkhla Province, including a suspension

of principal repayment, and a waiver of interest accrued during the suspension period, for a period of up to 12 months from the date the debtor submits a request, provided that such request is made by January 31, 2026. Eligible debtors must not have been classified as non-performing loans (NPLs) as of December 2, 2025.

❑ Information Technology Risk Governance

■ BOT Notification No. 4/2568 Re: Security Requirements for the Provision of Financial and Payment Services via Mobile Devices for Financial Institutions, effective March 10, 2025. The notification covers security requirements relating to data, applications, and mobile devices, and establishes guidelines to prevent unauthorized payment fraud. These include prohibiting the inclusion of links in SMS messages and emails; monitoring for fake or fraudulent applications; restricting usage to one account per one device; requiring facial recognition for funds transfer of Baht 50,000 or more per transaction and Baht 200,000 or more per day, and for increases in transaction limits of Baht 50,000 or more; setting maximum daily transaction limits based on the risk level of users; and allowing the application of international practices as supporting criteria for user risk classification. In addition, the Bank of Thailand issued a similar Notification No. 18/2568 applicable to e-money mobile application providers, which came into effect on September 6, 2025.

■ BOT Guidelines Re: Client Endpoint Security for Users of Systems under Electronic Financial Services Classified as Critical Level 1, effective October 14, 2025. The guidelines apply to both financial institutions and non-financial institution users involved in systems related to payments, debt instruments, and financial markets. They also require BAHTNET system users who transmit messages via SWIFT to comply with security measures as prescribed under SWIFT standards.

■ BOT Policy Guidelines Re: Risk Management for the Use of Artificial Intelligence (AI) Systems, effective September 12, 2025. The guidelines serve as a reference framework for financial service providers. Salient points include governance of AI system adoption; the establishment of organizational policies and frameworks for the use of AI systems and the management of risks associated with AI usage; AI risk management, including the development and maintenance of AI system security, covering control of data risks, model development risks, and cybersecurity threats.

❑ Financial Fraud Management

■ Emergency Decree on Measures for the Prevention and Suppression of Technology-related Crimes (No. 2) B.E. 2568 (2025), which was published in the Government Gazette on April 12, 2025, and effective on April 13, 2025, with the following key provisions:

(1) Digital asset business operators are required to participate in the Central Fraud Registry (CFR), in the same way as financial institutions and e-money operators.

(2) The BOT and relevant regulatory agencies are empowered to set standards for digital fraud prevention. Financial institutions may be jointly liable for damages if they are unable to prove compliance with such standards.

(3) The Operation Center for the Prevention and Suppression of Technology Crimes is authorized to provide lists of individuals to financial institutions for account-opening rejection/transaction suspension/account closure.

(4) Financial institutions are required to report digital fraud-related transaction data to the Anti-Money Laundering Office (AMLO).

(5) The AMLO is empowered to order the return of funds to victims of digital fraud.

■ BOT Notification No. 19/2568 Re: Standards and Measures for Prevention of Technology-Related Crimes for Financial Institutions, effective August 8, 2025, and BOT Notification No. 58/2568 Re: Standards and Measures for Prevention of Technology-Related Crimes for Business Operators under the Law Governing Payment Systems, effective December 23, 2025. These notifications require financial institutions/payment service providers to share responsibility for losses arising from technology-related crimes in proportion to the circumstances, where damage occurs as a result of non-compliance with the notifications. They also established measures to prevent unauthorized or impersonated transactions; conduct Know Your Customer (KYC) and Know Your Merchant (KYM) as well as due diligence and verification to prevent the use of mule accounts, limit losses incurred, and take prompt action against identified mule accounts; as well as receive and handle reports of technology-related crimes both during and outside business hours.

■ BOT Notification No. 57/2568 Re: Criteria for Digital Fraud Management, effective December 17, 2025. The notification enhances end-to-end digital fraud management, encompassing policy setting and governance, management processes, information sharing, awareness-raising, and reporting to the BOT.

■ AMLO Notification Re: Criteria for the Designation or Review of the List of High-Risk Persons Subject to Enhanced Monitoring under the Ministerial Regulation on Customer Due Diligence B.E. 2563 (2020) (No. 2) B.E. 2568 (2025), effective October 15, 2025. The notification prescribes operational guidelines upon receipt of notification of such a list for payment service providers under the law governing payment systems and digital asset business operators under the law governing digital asset businesses, as follows: For existing customers, transactions via electronic channels must be immediately restricted; applications for any new services or products must be rejected; the customer's risk rating must be upgraded to high, and enhanced customer due diligence (EDD) must be conducted; and a report must be filed wherein grounds for suspicion are identified. For new customers, all applications for new services/products must be rejected.

❑ Foreign Exchange Regulations and Measures to Prevent Thai Baht Speculation

■ Circular No. BOT Wor. 5491/2568 Re: Revisions to the Criteria and Operating Procedures for Measures to Prevent Thai Baht Speculation, effective December 1, 2025, includes the following key measures: (1) Relaxation of Thai Baht liquidity provision and lending to non-residents; (2) Expansion of the scope of investments and derivative transactions referencing debt instruments, equity instruments, and credit; (3) Relaxation of capital inflow management measures, including easing requirements on outstanding balances in Non-resident Baht Accounts; and (4) Relaxation of Thai Baht transactions with non-residents who are granted privileges and immunities in Thailand.

■ Circular No. BOT Wor. 5492/2568 Re: Relaxation of Measures to Prevent Thai Baht Speculation for Designated Non-resident Non-Financial Institutions (NR Non-FIs), effective December 1, 2025. The circular permits certain financial transactions to be conducted without presentation of underlying documentation, including foreign exchange transactions between foreign currencies and Thai Baht with same-day or next-day settlement; derivative transactions; Thai Baht lending and borrowing; and the issuance or purchase of Thai Baht–denominated debt instruments, among others.

■ Circular No. BOT Wor. 5494/2568 Re: Issuance of the Exchange Control Officer Notification, effective December 1, 2025, aimed at enhancing flexibility in international financial transactions. Key measures include: increasing the limit for remittances made as grants to overseas individuals to not exceeding USD 200,000 per year; relaxing restrictions to allow only mutual funds and private funds to make payments for digital assets overseas; permitting Thai Baht-denominated lending to overseas affiliated entities that are non-financial institutions (NR Non-FIs); and revising the criteria for Thai Baht-denominated borrowing and fundraising for Non-resident Baht Accounts and the establishment of Special Purpose Non-Resident Baht Accounts (SNAs) for Thai Baht-denominated borrowing and fundraising.

■ Circular No. BOT Wor. 8434/2568 Re: Clarification of Operating Procedures for Foreign Exchange Transactions with Customers, effective December 29, 2025. The circular requires banks to verify supporting documentation for the purchase or acceptance of foreign currency originating from overseas from Thai individual or corporate customers, covering spot transactions, forward transactions, and deposits into foreign currency deposit (FCD) accounts.

■ Criteria for Promoting the Use of Local Currencies to Support Trade and Investment between Malaysia and Thailand, and between Indonesia and Thailand, effective April 20, 2025. The criteria further relax requirements to enhance flexibility in local currency transactions.

❑ Governance of Mechanisms Enabling Users to Exercise Their Right to Data Portability in the Financial Sector

BOT Notification No. 47/2568 Re: Criteria for the Governance of Mechanisms Enabling Users to Exercise Their Right to Data Portability in the Financial Sector, effective October 31, 2025. The notification requires financial service providers to establish mechanisms that facilitate the exercise of customers' rights to transmit their data – including deposit, credit, and payment data – in a manner that is convenient, secure, and without undue restriction, allowing customers to access suitable services and obtain greater benefits from financial innovation. Such mechanisms must comply with relevant standards, including those relating to authentication and identity verification, risk management, data management, and personal data protection.

❑ Other Laws and Regulations related to Commercial Banking Operations

■ AMLO Notification Re: Politically Exposed Persons (PEPs), which was published in the Government Gazette on December 4, 2025, and effective on February 2, 2026. The notification sets out definitions and criteria for

identifying politically exposed persons, for use by financial institutions and reporting entities in risk management, customer risk classification, and the conduct of customer due diligence (CDD).

■ The Civil Procedure Code Amendment Act (No. 33) B.E. 2568 (2025), which was published in the Government Gazette on September 9, 2025, and effective on September 10, 2025. The key amendments involve revising the schedule of execution officer fees as follows: (1) reduction in auction or other method of disposal fee for seized or attached property to 2 percent of the amount obtained from the sale or disposal; (2) reduction in the fee for sale by auction between parties to 1 percent of the highest bid price; (3) reduction in the fee for disbursing seized or attached funds to creditors to 1 percent of the amount seized or attached; and (4) cancellation of fees for the seizure of non-monetary property where no sale or disposal takes place and fees for the seizure or attachment of money/property where no sale or disposal takes place.

■ Ministerial Regulation Prescribing the Minimum and Maximum Wages Used for Calculation of the Social Security Contribution Base for Insured Persons under Section 33, B.E. 2568 (2025), which was published in the Government Gazette on December 12, 2025, and effective on January 1, 2026. The key point involves an increase in the maximum wage ceiling used as the basis for calculating social security contributions for insured persons under Section 33, while the minimum wage floor remains unchanged at not less than Baht 1,650 per month. The increase in the maximum wage ceiling will be implemented in three phases as follows: Not exceeding Baht 17,500 per month from 2026-2028; not exceeding Baht 20,000 per month from 2029-2031; and not exceeding Baht 23,000 per month from 2032 onwards.

■ Labor Protection Act (No. 9) B.E. 2568 (2025), which was published in the Government Gazette on November 7, 2025, and effective on December 7, 2025. The key point is the revision of maternity leave-related rights as follows: Maternity leave period is extended from 98 days to up to 120 days, and an additional consecutive leave of up to 15 days is permitted in cases where the newborn has an illness, abnormality, or disability. Employees receive full daily wages during maternity leave, capped at 60 days. For any extended maternity leave, employees are entitled to receive wages at 50 percent of their normal daily wages. In addition, a new right has been introduced allowing employees to take up to 15 days of leave to support their spouse following childbirth, with full pay for the period of leave, but not exceeding 15 days.

2. Risk Management and Risk Factors *

2.1 Overall Risk Management

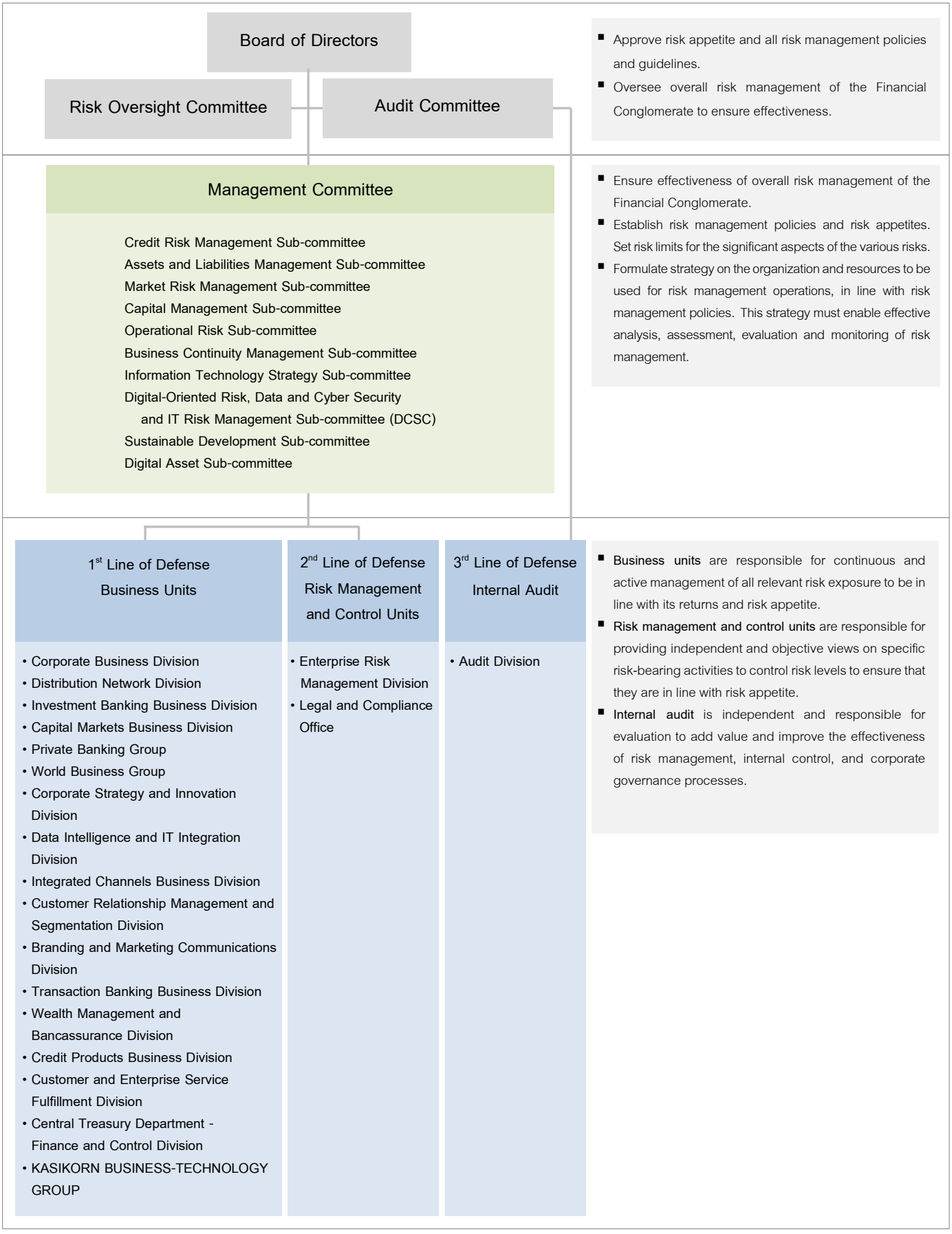
Risk management is an integral part of KBank's organizational culture. The Bank has integrated risk management policy and risk appetite into the Bank's strategy setting and business undertakings to support business growth and deliver long-term sustainable returns to relevant stakeholders.

KBank's risk management strategy has been established in line with international guidelines and principles, and applied throughout KASIKORNBANK FINANCIAL CONGLOMERATE. The Bank engages in a consolidated risk management framework that emphasizes management of credit, market, liquidity, operational, reputational, digital, strategic and climate-related risks. Risk management structure clearly determines duties and responsibilities of relevant units, including an independent unit tasked with risk oversight and control, while risk-adjusted performance measurement has been applied with each business unit.

KBank's risk, capital and liquidity management is under the supervision of the Board of Directors, which is responsible for ensuring the appropriate level of capital and liquidity to accommodate the Bank's present and future business operations. Meanwhile, the Bank ensures that policies, processes and systems for controlling, monitoring and reporting risks, are in place, whereas segregation of duties and reporting lines are clearly defined in conformity with the good internal control principle. The Bank also emphasizes thorough, accurate and regular disclosures on risk, capital and liquidity management to the public.

* Details of risk management and other related information, in accordance with the Bank of Thailand Pillar 3 requirement and disclosure principles, are shown in "the Basel III Pillar 3 Disclosure" section on KBank's website. Moreover, details on Sustainable Financing and Investment can be found in Sustainability Report 2025.

Risk Management Structure*



*Data as of December 31, 2025

❑ Key Developments to Strengthen Risk Management

KBank recognizes the importance of effective and timely risk management. Accordingly, the Bank has established management approaches to address risks that are expected to increase in line with market volatility and to support sustainable growth through continuous development and review of risk management policies, tools and processes in alignment with international standards, changes in regulatory requirements, emerging risks and the prevailing business circumstances, as follows:

- **Enhanced end-to-end credit risk management** to enable the Bank to control credit risk within the defined risk limits and to enhance debt collection more effectively. This was achieved through strengthening credit risk management across the entire process, including credit policies, processes, and risk monitoring tools. In addition, the Bank has leveraged artificial intelligence (AI) to support risk monitoring and management, thereby maintaining credit quality within the defined risk limits.
- **Enhanced the management of environmental, social, and governance (ESG)** risks, including climate change risks, by developing additional industry-specific greenhouse gas (GHG) reduction strategies and strengthening the Bank's green finance framework, which has been assessed and reviewed by external expert firms. The Bank focuses on reducing negative impacts and enhancing positive impacts on the environment, society, and economy in line with the Bank's objectives. Furthermore, KBank has developed guidelines for collecting geospatial data from credit customers to strengthen capability in managing physical climate risk impacts, together with establishing key risk indicators (KRIs) to monitor such physical impacts.
- **Developed AI risk management** under the Responsible AI Principles, appropriate risk management by establishing an AI governance and risk management framework and policy covering the entire AI lifecycle and all types of AI usage. This is to ensure that KBank can develop and apply AI appropriately under effective governance, in compliance with applicable laws, relevant regulatory requirements and international standards.
- **Uplifted information security management to meet global standards** by enhancing cybersecurity maturity to a world-class level, as assessed by external parties and based on the US National Institute of Standards and Technology Cybersecurity Framework (NIST CSF). This includes obtaining ISO/IEC 27001:2022 certification for the Bank's information security management. The certification covers key services and applications, data centers, and the Cyber Security Operations Center (CSOC). Additionally, KBank received PCI DSS V4.0 for the Bank's credit card data security system, which includes the online payment service of Payment Gateway on Cloud for card accepting merchants and the acquiring system – EDC service in the Socialist Republic of Vietnam. The Bank also obtained PCI PIN Security V3.1 for the ATM security system.
- **Elevated control measures for advanced digital risk management** across the KASIKORNBANK FINANCIAL CONGLOMERATE and overseas network. These include advanced threat prevention, enhancement in efficiency of cybersecurity defenses against emerging threats, expansion of proactive threat detection capabilities, as well as timely and effective threat response.

- **Enhanced third-party risk management** to control risks arising from the use of services, system connectivity, and data access by business partners and external parties. This includes applying tools to assess risks of business partners and third parties starting from the onboarding stage, followed by continuously monitoring risks throughout the duration of the business relationship. Additionally, an alert system is in place to notify the Bank of any significant cyber anomalies.
- **Strengthened the organization's cybersecurity awareness culture at all levels,** ranging from the Board of Directors, management, and employees to customers and business partners through various communication and training initiatives. These include customer-focused programs such as the "Sati" cyber awareness campaign, as well as employee knowledge-building activities through e-learning, security newsletters, cyber news alerts, and phishing drill exercises. Additionally, the Bank organized the KBTG Cyber Security ClassNest for the general public who are responsible for cybersecurity functions, to enhance Thai talent and capabilities in the technology sector.
- **Continually strengthened management of digital fraud**, including fraud prevention, detection and monitoring of suspicious accounts and transactions, as well as incident response and mitigation. In 2025, KBank enhanced security measures for mobile banking applications and services in line with the Bank of Thailand's requirements, such as limiting usage to one account per device, prohibiting use on mobile devices installed with applications that may enable impersonation or screen overlay/screen data theft, and establishing guidelines for the use of the Bank's links and QR codes. KBank also enhanced its technology systems and applied data analytics and intelligent system to improve fraud management efficiency. Additionally, the Bank increased industry-wide effectiveness in managing mule accounts by sharing suspicious account information among relevant entities, along with educating and notifying customers and the public about digital scam threats and prevention methods on a continuous basis.
- **Enhanced market conduct management** in a systematic and ongoing manner, with a focus on ensuring that customers receive complete, accurate, and fair information and services at every stage. These principles are integrated into governance, product design, communications, sales, and service delivery to align with customers' needs and capabilities, with primary consideration given to customer interests. In addition, control and monitoring processes are in place for customer service, leveraging data analytics and emphasizing a proactive management approach.
- **Prepared for the implementation of Basel III reforms in Thailand** through ongoing engagement with the Bank of Thailand as part of regulatory co-creation for appropriate local adoption. Internal management guidelines were established to ensure system readiness for capital calculations under the new standards and to maintain capital adequacy aligned with future business plans.

2.2 Risk Management

KBank has placed an emphasis on comprehensive risk management. As a result, KBank focuses on developing and improving risk management in various aspects, including credit risk, market risk, liquidity risk, operational risk, reputational risk, digital risk, strategic risk, and climate-related risk, as follows:

❑ Credit Risk Management

Credit risk refers to risk whereby a counterparty or borrower may default on contractual obligations or agreements, or have an intention not to abide by an agreement, resulting in losses to KBank. Credit risk arises from the Bank's lending transactions, investments, and obligations, including counterparties' credit risk incurred from derivative transactions. However, since lending is the Bank's core business, the borrower's default on payment not only results in a loss of interest income and potential loss of principal – either partially or entirely – but also affects the Bank's profitability and capital adequacy.

Thailand's economy in 2025 continued to face pressure from both structural challenges and negative factors that gradually impacted the economy throughout the year. The Bank therefore placed importance on credit risk management in order to maintain sustainable growth in line with its business strategy. The Bank set a cautious target for loan growth, while continuously enhancing the efficiency of credit risk management to maintain an appropriate balance between expected returns and potential risks. The Bank focuses on screening for quality loan growth, such as existing customers with a good repayment history, those with secured loans, and customers in industries with strong growth potential and related industries. The Bank established guidelines to provide assistance to both retail and business customers affected by economic conditions and natural disasters, in accordance with responsible lending practices throughout the entire process. Furthermore, in 2025, KBank enhanced its credit risk management processes and tools across the entire credit lifecycle, enabling the Bank to effectively manage credit risk indicators under the risk limit.

At the same time, the Bank recognizes climate change risks arising from both transition risk and physical risk, which may affect customers' credit risk. The Bank has therefore incorporated climate-related risks into its credit policies and processes, portfolio management, and the development of strategic plan for significant reductions in greenhouse gas emissions by industry, together with control processes to ensure the targets could be achieved. Furthermore, the Bank has established key risk indicators for physical impacts to enable regular and continuous risk monitoring.

Additionally, the Bank focused on ensuring that the proportions of its loan portfolio were not overly concentrated and set loan growth targets in line with economic conditions across customer segments, product categories, industries, and counterparty countries to achieve appropriate returns within risk appetite. The Bank also maintained an appropriate and sufficient level of expected credit loss (ECL) provisions in accordance with prudent business operations and in recognition of economic uncertainties.

The Bank's credit risk management approach is as follows:

- **Credit Risk Management Structure**

The credit risk management structure is overseen by the Credit Risk Management Sub-committee and is regularly reported to the management. The credit risk management framework covers the establishment of management structure, portfolio management, policies, processes, risk measurement tools, and related systems. It also takes into account an appropriate balance between the risk management units and the business units, which jointly establish policies for the credit underwriting process and credit quality review, under a clear segregation of duties, separating customer relationship management from credit underwriting in order to ensure transparency and enhance the effectiveness of risk management while providing appropriate customer service.

- **Credit Risk Management**
  - **Credit Risk Management Policy**

KBank has established a credit strategy, with emphasis on sustainable growth and maintaining a balance between value creation and value protection of portfolio against potential losses, within risk appetite. The Bank has set credit policies and processes in compliance with applicable laws, regulations, and regulatory requirements, including the responsible lending principles. Such policies and processes also take into account environmental and social impacts, particularly climate change, which may affect entrepreneurs in terms of both risks and business opportunities. This covers both physical impacts and transition impacts resulting from government policies and the country's commitment to the United Nations' Sustainable Development Goals (SDGs).

In this regard, the Bank has established credit policies and processes covering the entire credit lifecycle, starting from the product and service development stage, as well as lending standards that support the Bank's sustainable growth, including overall loan portfolio monitoring. These are compiled into a reference manual stored within the Bank's database system, encompassing lending criteria, credit management process, and tools designed to support credit risk management.

  - **Credit Risk Management Process**

The Bank has established a comprehensive credit risk management process, from portfolio management to debt collection. The process has been enhanced continuously and appropriately in line with international best practices to strengthen business efficiency amid economic fluctuations and geopolitical tensions while also contributing to collective action in expeditiously addressing the impacts of climate change.

- **Portfolio Management**

KBank emphasized active portfolio management in order to proactively respond to prevailing circumstances, particularly volatility of economic factors that could affect customers and the Bank. Through Active Credit Portfolio Management (ACPM) and stress testing, the Bank can manage, identify and prioritize assistance for customers to implement appropriate measures that aid each customer segment in a timely manner. For overall portfolio management, the Bank has controlled credit concentration within the established limits, taking into account customer group, product and industry outlook, and country dimension.

In addition, KBank has assessed the impacts of credit support to various businesses. The Bank also analyzed climate-related risks, opportunities, and impacts under different scenarios. These have been used for planning and setting lending targets and frameworks based on business types that support the transition to a low-carbon society. The Bank prioritizes reducing credit exposure to industries with high greenhouse gas emissions in portfolios, while expanding lending to support customers' transition towards a low-carbon society.

- **Credit Underwriting and Approval**

KBank has formulated its lending policy that defines areas of caution, exclusion, and support for quality credit extension, in line with sound credit underwriting principles and the Bank of Thailand's guidelines. These serve as a consistent standard for credit officers of the Bank and its subsidiaries.

Credit underwriting and approval is based on current, transparent, and qualified data. The credit policy, proposal processes, and systems are designed to align with each customer segment. The Bank established pre-screening criteria and classified industrial sectors based on risk levels to allow operating officers to screen customers more efficiently.

Medium and large business customers with sophisticated financial needs are served by relationship managers (RMs) with a thorough understanding of customers' business and risk profiles. RMs are responsible for analyzing and proposing suitable credit products, services, and limits to match customers' needs, presenting credit proposals to credit underwriters according to the defined approval authorities, and continually monitoring customer status.

For retail customers whose main products comprise home loans, credit cards, personal loans, and other types of financing, including loans for small and micro businesses, the Bank's approval process is based on the credit policy and credit scoring model, which assesses customer risk levels based on both internal and external data. The Bank continuously enhances its credit risk management policy and process to reflect changing market conditions, while rigorously reviewing supporting documentation to verify the accuracy and consistency of customer information. This enables effective screening of customers with appropriate debt-servicing capacity, thereby maintaining the overall credit risk level of the loan portfolio within the risk appetite.

To support its sustainable finance strategy, the Bank has established policies and sector-specific guidelines for assessment of each industry's operations which may have environmental and social impacts. The Bank does not support credit applicants or business types that are on the Exclusion List. Large project finance requests at home and abroad are subject to environmental and social impact assessments and ongoing monitoring throughout the credit term. Moreover, commercial loan extension to medium-sized and larger business customers must be undertaken via a credit underwriting process with an impact assessment on environmental, social, governance and economic factors.

- **Post-Credit Approval Operations**

To achieve standardized and efficient credit operations, KBank has centralized credit operations covering legal and contract-related arrangements, preparation of collateral agreements, credit limit setup, credit

disbursement, credit-related document storage, and credit data support. KBank has also set up processes to monitor compliance with contractual conditions.

- **Debt Quality Monitoring**

The Bank closely monitors and controls credit quality through the continuous development of tools, processes, and key indicators, including an early warning system capable of detecting irregular transactions and risk signals at an early stage. This enables closely and timely assessment of each customer's credit status and the implementation of appropriate risk-based management guidelines, helping to prevent potential losses. For large business customers, management actions range from credit review to credit suspension. Regarding small and micro businesses as well as retail customers, the Bank provides assistance to those affected by economic conditions and natural disasters, alongside swift and efficient management of debt recovery and collection. In addition, NPL sales are considered as an option for asset quality management.

- **Allowance for Impairment Losses of Financial Assets**

KBank has set aside allowance for impairment losses of financial assets by estimations of cash shortfalls based on the Thai Financial Reporting Standards, taking into account probability of default, the time value of money, reasonable and supportable information, and forward-looking macroeconomic assumptions. The Bank has a plan for setting aside provisions to cope with potential impacts from the deterioration of asset quality under volatile economic conditions. This approach ensures that the Bank maintains an appropriate and sufficient level of expected credit loss to support current and future business operations.

- **Credit Policy and Process Review**

KBank has conducted a review of credit policy and processes including data collection, credit proposal presentation, credit underwriting, contract preparation, credit review, and asset quality monitoring and review, to ensure credit process efficiency and consistency with regulatory requirements and internal policies. The Bank also utilized information from the review to support management and development of credit management standards. Additionally, the Bank regularly reviewed and revised credit approval criteria tailored to customer's risk profile.

❑ Market Risk Management

Market risk may arise from external factors in various forms, including changes in interest rates, foreign exchange, equity and commodity prices, as well as credit spreads. These changes affect the Bank's and its subsidiaries' present and future income, capital, the value of financial assets and liabilities as well as off-balance sheet items.

KBank engages in a consolidated risk management framework through development of essential infrastructures and processes for timely and appropriate management of the market risk of financial products. This framework encompasses the product management process for both existing and new products based on the

business plan, covering transaction objectives and processes, market risk-related factors, risks and potential impacts as well as risk assessment and control guidelines.

In 2025, overall market conditions were characterized by uncertainty and volatility throughout the year. In the first half of 2025, US import tariff policies raised concerns over a global economic slowdown and US inflation, prompting the Federal Reserve (Fed) to maintain interest rates at elevated levels. However, in the second half of 2025, after the US import tariff rates were finalized and turned out to be lower than previously announced, market attention shifted back to the Fed's monetary policy stance. This was supported by early signs of weakening in the US economy and labor market. As a result, the Fed cut its policy rate a total of three times, leading to lower US interest rates and a weaker US dollar. In Thailand, the Bank of Thailand reduced its policy rate a total of four times in 2025, as Thailand's economy faced rising external and domestic risks, including US trade protectionism, declining tourist arrivals, earthquake incidents, and tensions along the Thai–Cambodian border. Overall, the Thai Baht appreciated against the US dollar, reaching approximately 32 Baht per US dollar, partly driven by significant capital inflows into the Thai bond market.

To effectively cope with uncertainties in economic and political situations both at home and abroad amid rapidly changing capital movements, KBank is closely monitoring the surrounding circumstances while continuously analyzing and assessing possible impacts with a focus on efficient and effective risk management processes in order to maintain risk within specified, prudent limits. In detail:

- **Market Risk in Trading Book Activities**

  KBank's trading activities are exposed to risks of interest rate, foreign exchange, equity and credit spreads.

  The Bank's equity risk stems from equity underwriting and non-directional trading business, which are undertaken only for serving customers' needs. KBank has processes in place to measure and control risks within the established limits, under the supervision and control of the Enterprise Risk Management Division.

- **Market Risk in Banking Book Activities**

  KBank is mainly exposed to interest rate, equity and foreign exchange risks in banking book transactions, i.e.:

  - **Interest Rate Risk in Banking Book Activities**

    Interest rate risk refers to risk incurred from changes in interest rates of assets, liabilities, and off-balance sheet transactions that are susceptible to interest rate fluctuations. These may have adverse impact on net interest income and economic value of KBank. Therefore, KBank has established an interest rate risk management framework to mitigate impacts on financial position, accounting for adequacy of liquidity position.

    KBank continues to closely monitor movements of interest rates and customers' behaviors which are used for financial position management to ensure the highest effectiveness in risk management. KBank used interest rate risk gap to manage interest rate risk in the banking book activities through evaluation of net interest income sensitivity over the next 12 months based on an assumption of a 1.00-percent change in interest rates on all types of assets and liabilities at their re-pricing periods. The assessment indicates an impact of 3.15 percent, which remains within the Bank's risk appetite.

- **Equity Risk in Banking Book Activities**

KBank is exposed to equity risk from investment in equities, both directly and indirectly via funds. To ensure the maximum benefit of the Bank, KBank has complied with regulations and procedures of relevant government agencies under the established risk framework while conducting data analyses and close assessments of relevant events.

- **Foreign Exchange Risk in Banking Book Activities**

KBank is exposed to foreign exchange risk that may be incurred from overseas operations, investment and any activities related to banking book which incur foreign exchange exposure. KBank has chosen not to retain foreign currency position stemming from such activities, except where there is market limitation of risk hedging, or for the purpose of appropriate cost management in risk hedging during certain periods.

KBank has a stringent monitoring process and control measures under the supervision of the Assets and Liabilities Management Sub-committee to ensure the most effective cost management under the risk limits approved by the Risk Oversight Committee.

❑ Liquidity Risk Management

Liquidity risk is defined as the risk caused by a failure to obtain sufficient funds at appropriate costs to meet obligations when they come due, and/or an inability to convert assets into cash, which may incur loss.

In 2025, liquidity in the overall banking system remained sufficient to accommodate demand for business operations. However, KBank is aware that liquidity status and management guidelines vary from bank to bank, which may affect liquidity management at any given period. Therefore, the Bank has been prepared by adopting tools for proper liquidity management in terms of both foreign currencies and Thai Baht to protect against any potential liquidity shortage. This is accompanied by close monitoring of events that may affect liquidity risk, as well as the implementation of a business continuity plan to guard against disruptions to essential operations and systems, allowing the Bank to fulfill obligations in the event of an emergency.

To ensure sufficient liquidity for business operations, KBank regularly conducted liquidity risk assessment and analysis through various tools such as liquidity gap analysis, covering both normal and crisis situations, under three scenarios, i.e., liquidity crises that are either bank-specific, market-wide, or both circumstances combined. The Bank has also continuously assessed and analyzed Liquidity Coverage Ratio (LCR) and Net Stable Funding Ratio (NSFR) in conformity to international standards.

Moreover, KBank has devised an effective plan for overall liquidity management, including foreign currencies, along with review and revision of liquidity risk management processes and adjustment of the Bank's funding structure in response to changing market conditions and liquidity in the banking system. These endeavors are undertaken by taking into account business growth potential and capability to cope with volatility in the global economy and fast-changing financial markets. The Bank also determines appropriate strategies to

maintain a suitable level of foreign currency liquid assets, consistent with growth in foreign currency deposits, and to guard against liquidity risk more efficiently.

KBank closely monitors key factors that could affect the Bank's liquidity and interest rate risks going forward. These include: (1) uncertainties surrounding global and Thai economic outlook; (2) interest rate trends; (3) direct and indirect foreign capital movements; (4) intensified competition among financial institutions in savings and investment products; and (5) increasing demand for loans.

❑ Operational Risk Management

Operational risk refers to the risk of direct or indirect losses to a bank's revenue or capital resulting from incorrect or inadequate processes, personnel, operating and IT systems, or external events. KBank thus established the operational risk management policy and framework to enhance process efficiency through systematic risk management and control under the same standards.

KBank focused on prudent and efficient operational risk management through enhancement of capabilities in key operational risk management and control, ensuring that customers receive fair treatment and services that meet their needs under comprehensive and appropriate risk management across all risk dimensions. Notable efforts include end-to-end product management throughout the product cycle to ensure continuity in business operations; improvement of business partner and third-party risk management, including risks arising from system interface or access to data of customers or KBank; elevation of risk-related functions for more integrated and effective operations; and continual enhancement of market conduct management.

In addition, the Bank has in place measures to mitigate the severity of, and reduce the impacts from, incidents or factors that could disrupt critical operations of the Financial Conglomerate, such as system failures, floods, storms, fires, terrorism, pandemics, political events, and cyber threats. These measures encompass risk assessment, business impact analysis, recovery strategy formulation, as well as development and testing of business continuity plan (BCP). Such actions ensure that business continuity management remains effective and appropriate to prevailing circumstances, with key outcomes regularly overseen and reported to the Business Continuity Management Sub-committee.

In 2025, several disaster events occurred, including a major earthquake in the Republic of the Union of Myanmar (March 2025), severe flooding in the southern region of Thailand (November 2025), and incidents of unrest along the Thai–Cambodian border (July and December 2025). The Bank was able to manage the resulting impacts effectively in terms of employee and customer safety, service delivery, IT systems, and facilities management. Services at affected premises were temporarily suspended during the incidents, and employees and customers were immediately evacuated from the impacted areas. The Bank activated the BCP to ensure continuity of critical services, with digital channels remaining fully operational, and implemented relief measures for affected customers. Lessons learned from these events have been incorporated into further enhancements of the Bank's business continuity management approach, making it more agile and effective, including improvements in communication channels and messages, better readiness of facilities to respond to major incidents, and regular drills of relevant plans.

At the same time, the Bank's operational risk management framework also encompasses Bank-wide climate-related risk management, enabling the Bank to maintain business continuity while safeguarding the lives and property of customers, employees, and other stakeholders. KBank's risk consideration process is undertaken annually or more frequently to keep abreast of the latest trends, ensuring that the Bank can cope with newly emerging climate impacts in a timely manner. In detail:

1. Risk Identification: To identify key climate-related scenarios or threats, both physical risk and transition risk, based on global megatrends and relevant new regulations.
2. Risk Assessment: To classify risks into three levels – high, medium, and low – based on assessment of potential impact, likelihood of occurrence, and effectiveness of existing control mechanisms.
3. Risk Management: To formulate proactive risk management guidelines covering prevention, monitoring, and response, including Business Continuity Plan (BCP), IT Disaster Recovery Plan (IT DRP), and Crisis Management Plan (CMP). Regarding high-level or significant risks, additional analyses are conducted for taking further preventive or corrective actions, or implementing additional risk management measures.

❑ Reputational Risk Management

Reputational risk refers to the risk arising from negative perceptions towards KBank by stakeholders. Such risk may result from the Bank's business operations, customer treatment, or practices that are inconsistent with laws, ethical principles, service standards, and societal expectations, and may adversely affect the Bank's trustworthy, revenue, and capital position both at present and in the future.

To ensure proper and efficient reputational risk management, KBank has therefore formulated a reputational risk management policy and framework. This includes defining the Bank's risk appetite, as well as setting out processes for monitoring, surveillance, and timely and appropriate management of reputational risk, with careful and prudent consideration of stakeholders and potential impacts.

Reputational risk management focuses on responsiveness to all stakeholders, including shareholders, customers, regulators, employees, business partners and suppliers, investors, credit rating agencies, the general public, and media organizations. Reputational risk management processes are composed of the following steps:

1. Risk Identification: Consideration is based on factors that may have negative impacts on KBank's reputation through assessment of the prevailing risks and forecast of potential risks that may emerge at some point in the future.
2. Risk Assessment: Reputational risk indicators are clearly defined and in conformity with related factors.
3. Risk Monitoring, Control and Reporting: The processes of risk monitoring, control and reporting are set up to control risks within risk appetite.

❑ Digital Risk Management

Digital risk is a factor that has substantial implications for KBank's business operations, in terms of both intensity and complexity. The development of payment systems under the new financial landscape in Thailand supports digital payment as the primary option accessible to all groups of users. Of note is the launch of a system interface service for connecting KBank's application with external organizations and individuals, as well as the development of increasingly complex financial products and services, such as digital asset-related transactions. Digital risk may come from various channels and both internal and external factors, such as financial transaction services via digital channels, data management, cyber threats, and the adoption of emerging technologies such as artificial intelligence (AI) and generative AI. Such risk may have adverse impacts on, or cause financial or non-financial losses to, KBank and customers, either directly or indirectly.

KBank is determined to maintain sustainable growth. Guided by the strategy of being at the forefront as a digital banking service provider in Thailand, the Bank prioritizes customer confidence and service security. Recognizing the importance of digital risk management, KBank has put in place measures for managing relevant risks, particularly operational and IT risks, to ensure standardized management that allows the Bank to stay ahead of, and be able to cope with sophisticated risk situations. Focus was also on enhanced efficiency in work processes, control and systematic risk management in line with related international standards such as ISO 27001 and ISO 31000, and in accordance with KBank policies and the Bank of Thailand's guidelines.

Overall, digital risk management focuses on risk controls for prevention, detection, response, recovery and creation of a cyber hygiene culture covering the Bank's key business processes and work systems. Major operations are carried out in four areas, as follows:

- **Governance:** The Risk Oversight Committee is responsible for supervising risk management in alignment with risk management policy and strategy within the risk appetite.
- **Policies:** The Bank has reviewed and revised relevant policies to be consistent with our organizational structure, our business vision for maintaining our growth and leadership status in Thailand's digital banking business, as well as regulatory requirements and capability to efficiently cope with present and future threats.
- **Processes and technology:** The Bank has given priority to continuous improvement of our information security management in both financial transactions and services, while also bolstering the capability to protect ourselves from advanced threats. Along with this, the Bank has implemented data leakage preventive measures to protect our customer data.
- **People and culture:** KBank has bolstered personnel capabilities in line with our business directions, emerging risks and threats. The Bank has emphasized the creation of a cyber hygiene culture, promoted cyber awareness, and confidence in the Bank's cyber security among four personnel groups, i.e., the Board of Directors and senior management, employees, customers and third party of KBank, via communications in different formats to keep them abreast of cyber risks as well as provision of knowledge related to best practices. In addition, phishing drill exercises have been conducted to test how employees respond to phishing emails and fraudulent

websites to ensure that they can identify phishing threats and can properly cope with them for efficient prevention.

In addition, KBank conducted risk assessment and enhanced digital risk control system development plan to be consistent with cyber threats and past performance. Significant risks include risk from data leakage, heightened risk in linkage with business partners, adoption of innovative technology for services, risk incurred from operations and IT that accommodate innovative financial services and products or new channels to ensure customer responsiveness, various types of cyber threats which could have more severe impacts, as well as change in rules and regulations which become ever more stringent, especially personal data protection. The Bank established a development plan for digital risk management with measures in place to closely monitor our operational plan and regularly report operating performance via relevant committees/sub-committees to ensure that digital risk remains within risk appetite.

❑ Strategic Risk Management

Strategic risk refers to risks that arise from formulation and implementation of strategic and business plans that are unsuited to and inconsistent with internal factors and the external environment, which may affect earnings, capital, as well as stability of the Bank. In 2025, Thailand's economy faced pressure from both structural issues and negative factors that gradually affected the economy throughout the year. As a result, risks for certain customer segments increased and were transmitted to the Bank's operations, becoming a key challenge that required appropriate management.

The Bank places importance on strategic risk management amid uncertain conditions. The Bank has established a strategic risk management process that covers all elements of operations across the financial business group, together with clear communication of strategic and business implementation plans throughout the organization. Progress is monitored and operational risk issues are identified so that they can be addressed in a timely manner.

The Bank's strategic risk management approach comprises two main components as follows:

- **Strategic Risk Management for Strategic Content:** The Bank has established key risk indicators for strategic content to review and adjust the financial business group's strategies and business plans to ensure they remain appropriate and responsive to the prevailing environment at any given time. This includes ensuring readiness to cope with anticipated changes in a timely manner.
- **Strategic Risk Management of Strategy Execution:** The Bank has established key risk indicators for strategy execution, covering both infrastructure and resources of the financial business group, and defines key performance monitoring processes as follows:
  - Preparing quarterly financial performance reports and a corporate scorecard every six months. Additionally, meetings are held to monitor progress in various areas to ensure alignment with the strategy of KASIKORNBANK FINANCIAL CONGLOMERATE, including meetings to manage issues where targets have not been achieved in order to define corrective actions.

- Preparing quarterly business performance reports and objectives and key results (OKRs) to measure execution directions and reflect the overall strategic plan.

❑ Climate-Related Risk Management

Climate-related risk comprises: (1) physical risk, or damage arising from natural disasters – whether acute or chronic – that is set to emerge with greater intensity and may affect businesses across supply chains, being catastrophic to the property of customers and KBank, disrupting operations, and increasing costs for prevention and remediation; and (2) transition risk associated with the shift towards a low-carbon society, leading to changes in laws, policies, regulations, practices, and consumer behavior. All of these have caused the business sector to face rising costs through investment in additional equipment, research and development, asset impairment, as well as indirect impact on business reputation.

KBank has focused on comprehensive climate change risk management with the aim of mitigating negative impacts while enhancing positive effects on the environment. The Bank is also preparing to address the impacts of climate change through four key initiatives as follows:

- **Governance Structure:** The Bank has established various committees, including the Board of Directors, senior management, Climate Pillar Working Group, as well as different departments within the Bank. Their roles, duties, and responsibilities have been clearly defined to oversee business operations, accounting for climate change.
- **Strategic Planning:** The Bank integrates climate-related factors into business strategy, risk appetite framework, objectives, and operational plans. This includes a greenhouse gas reduction strategy for both the Bank's own operations and financed portfolio, design and development of products and services to support environmentally friendly business practices, and customer engagement to facilitate their transition to a low-carbon society.
- **Risk Management:** KBank incorporates climate-related risks into our risk culture. The Bank has established a risk management structure under the Three Lines of Defense principle, with a clearly defined risk management policy and process, as well as monitoring and control to ensure that risks are in line with our risk appetite.
- **Disclosure:** The Bank ensures that relevant information is disclosed in accordance with internationally recognized guidelines or standards via multiple channels at least once a year. This includes information on governance structure, strategic planning, risk management, and metrics and targets.

2.3 Emerging Risks

The Bank has prepared response plans for several risks that are expected to become increasingly significant to the economy and society over the next five years. These plans aim to enable timely assistance and mitigation of potential impacts – both direct and indirect – on business and retail customers, organizations, and society as a whole, as outlined below:

Emerging Risks	Description of Risks	Potential Business Impacts of Risks	Mitigating Actions
AI Risk	AI technology is playing an increasingly transformative role in the business landscape, particularly in the development and application of AI to enhance operational efficiency and customer service. However, the use of AI may also give rise to various latent risks, such as the leakage of sensitive information, the reliability of AI-generated outputs, copyright infringement or legal violations, and exposure to cyber threats.	The Bank, as an organization committed to developing and utilizing AI technology, recognizes potential risks that may affect the Bank across multiple dimensions, including: • Unauthorized disclosure of the Bank's data, which may result from the use or development of AI systems that store sensitive information without adequate data security safeguards. • Adverse impacts on customer confidence and the Bank's reputation in cases where AI-generated outputs are inaccurate, outdated, or infringe property rights, and are used without proper verification of data sources and reliability. • Legal or regulatory non-compliance, in cases where operations fail to comply with applicable laws or requirements set by relevant regulatory agencies. • Increased frequency and severity of cyberattacks, which may disrupt the Bank's services and potentially cause financial losses to customers or the Bank.	The Bank established AI risk management guidelines to ensure that such risks can be addressed and controlled within risk appetite in compliance with applicable laws, relevant regulatory requirements, and international standards, as follows: • Establishing governance and risk management policies based on the Responsible AI Principles, with oversight throughout the AI lifecycle, supported by systematic quality assurance and AI audits. • Continuously procuring tools and developing technologies to guard against emerging cyber threats, enabling effective defense against sophisticated or previously unknown attacks. • Enhancing capabilities to detect and respond to AI-related threats, such as upgrading systems to analyze anomalous behavior and monitoring the insecure intake or transmission of sensitive data via GenAI. • Raising employee awareness and communicating safe AI usage practices to staff across the Bank and companies within the Financial Conglomerate.
Extreme Weather Risk	Extreme weather risk is becoming increasingly severe, with a higher frequency of natural disasters such as heavy rainfall, major	The increasing severity and frequency of natural disasters are leading to progressively higher levels of overall economic damage and causing widespread negative impacts. These	The Bank has established a systematic and sustainability-focused approach to climate-related risk management to mitigate the impacts of climate change. This includes strengthening capabilities in

Emerging Risks	Description of Risks	Potential Business Impacts of Risks	Mitigating Actions
	floods, chronic droughts, storms, and extreme heat. These risks not only cause immediate damage to life and property but also have long-term impacts on ecosystems and biodiversity, which form the foundation of vital natural resources for the survival of all living beings. Growing awareness and management of these risks are adding pressure on the economic and industrial sectors that rely heavily on natural resources to adapt, especially those with high greenhouse gas emissions or energy-intensive operations.	include disruptions to economic activity, rising operating costs, and weakened income generation and debt repayment ability. Such developments may affect the Bank's direct investments and also result in indirect impacts through heightened credit risk, in line with the increased risk exposure of large corporate clients and customers in highly vulnerable industries. Moreover, ecosystem degradation and biodiversity loss affect customers' supply chains and add energy transition pressure on them. As a result, some customer segments may face higher costs from accelerated investments and business restructuring needed to maintain competitiveness. This presents a key challenge for the Bank to support clients in maintaining their financial resilience and to mitigate potential impacts that could ultimately feed back into the Bank's overall risk profile.	quantitative risk assessment through data analysis and the development of decision-support tools, alongside enhancing organizational readiness, as outlined below: • Conducting climate stress tests to assess the vulnerability of the Bank's loan portfolio and financial position under multiple climate change scenarios, with plans to expand the scope of assessment to cover a wider range of disaster types. • Developing accurate data and hazard mapping that incorporates geospatial data, asset valuation, and insurance coverage. The Bank has also created hazard heat maps identifying locations exposed to various types of disaster risks under multiple climate change scenarios. • Risk integration which requires credit risk assessment to incorporate physical risk models, including risks related to biodiversity loss and energy transition. There are also plans to expand the scope of assessment to cover material supply chains. • Strengthening the Bank's risk management capabilities by enhancing climate risk literacy among employees across relevant functions. • Establishing response measures to serve as a framework for delivering timely post-disaster support to affected customers in order to mitigate impacts and facilitate their rapid recovery.
Geopolitical Risk	Geopolitical conflicts represent risks stemming from international relations involving power and interests, particularly economic resources, geographical territories, and technological	Geopolitical conflicts affect the economic system across multiple dimensions, including exports, imports, inflation, exchange rates, interest rates, and commodity price volatility. These factors, in turn, have knock-on effects on the Bank as a financial intermediary	The Bank recognizes the potential risks and impacts arising from geopolitical conflicts and has therefore assessed the severity of such conflicts and their implications for both the Bank's operations and customers' businesses.

Emerging Risks	Description of Risks	Potential Business Impacts of Risks	Mitigating Actions
	competition. These conflicts are increasingly complex, involving multi-dimensional countermeasures such as diplomacy, sanctions, trade wars, and the use of military force. Geopolitical risks influence global economic trends by creating volatility across money markets, capital markets, and trade. They also undermine confidence and may lead to various forms of losses, such as a slowdown in the global economy, as well as damage to ecosystems and broader systemic balances.	responsible for allocating financial resources. The impacts on the Bank can be categorized into two types: • Direct impacts: Business customers that are part of supply chains affected by economic countermeasures may face disruptions in sales, delivery of goods, and payments, particularly those operating in countries directly involved in the conflict. Such impacts may be severe and prolonged. • Indirect impacts: Due to interconnected supply chains, indirect effects may extend beyond the countries directly involved in the conflict. Goods from countries subject to economic countermeasures may be redirected to other markets, intensifying competition for the Bank's customers. At the same time, a broad-based economic slowdown may lead to a deterioration in the Bank's asset quality.	The Bank has also prepared assistance measures to support affected customers. Additionally, the Bank enhanced processes and stress testing models to strengthen forward-looking and preventive risk management. These improvements help ensure that the Bank can continue operating in a resilient and sustainable manner.
Debt Crisis Risk	A debt crisis is a risk that arises when borrowers are unable to meet their debt repayment obligations on schedule. It is primarily caused by the accumulation of excessive debt beyond repayment capacity, combined with severe income shocks that trigger escalation and broader contagion into a full-blown crisis. Debt crises can occur across all types of borrowers, including sovereign or public debt crises, as well as private debt crises, which encompass both household	A debt crisis poses both direct and indirect risks to the Bank, with the severity depending on the extent of the Bank's exposure to the source of the crisis. At present, public debt-to-GDP levels in many countries have risen significantly amid constraints on global economic growth. This situation may act as an accelerating factor, increasing the likelihood that sovereign debt problems in some countries could intensify and evolve into full-blown crises. Concurrently, debt burdens in Thailand's corporate and household sectors, particularly among vulnerable groups, are showing rising repayment	The Bank places strong emphasis on credit risk management, which represents primary risk, by enhancing risk management processes across the entire credit lifecycle in line with evolving risk conditions as well as providing appropriate support to customers when their debt repayment capacity is affected. Additionally, the Bank sets lending targets aligned with economic conditions and defines lending exposure limits by industry, borrower, and counterparty country to mitigate concentration risk. At the same time, the Bank conducts stress testing to ensure that its capital and liquidity levels remain adequate, thereby strengthening resilience under uncertain conditions.

Emerging Risks	Description of Risks	Potential Business Impacts of Risks	Mitigating Actions
	debt crises and corporate debt crises. Each occurrence of a debt crisis poses a significant threat to financial stability, such as banking sector failures, sharp declines in global equity markets, and regional or global economic recessions.	risks, as income recovery remains constrained by economic conditions. This could lead to a deterioration in the Bank's asset quality, higher debt management costs, and potential impacts on banks' long-term sustainable growth prospects.	

2.4 Shareholder Risk Management

Investments in KBank's ordinary shares may incur shareholder risk, as the returns on investment, which vary with share price, liquidity, and overall investor sentiment, may not meet shareholders' expectations.

For dividend payments, KBank adheres to its dividend policy, taking into consideration the operating results in the current year and forward-looking results, along with balancing future business investments and the appropriate level of capital to accommodate the Bank's business operations in both normal and stressed situations. The assessment of the economic situation and various challenges from internal and external factors will also be taken into consideration.

Key risks and risk management practices employed by KBank are identified. However, the Bank may incur risks other than those specified therein. Shareholders must accept that KBank may not be able to prevent all risks that could arise, and that there are uncertainties in numerous factors which could affect KBank performance and dividend payments, e.g., domestic and international economic conditions, geopolitical tensions, pandemic, political situations, capital movements, changes in government policies, and other unpredictable incidents. Given this, shareholders are urged to study all risks and cautiously deliberate upon any investment before making a decision.

Furthermore, KBank's widely distributed shareholder structure, with high incidence of foreign shareholding, could induce fluctuations in KBank's share prices, particularly when there is incidental market concern towards the economic, social, and political environment that could affect capital movements.

3. Business Directions and Operations of Core Businesses

3.1 Sustainable Development and Corporate Governance

❑ Sustainable Development in Action*

KBank carries out sustainable development operations in alignment with the K-Strategy, which emphasizes the importance of environmental, social, governance and economic considerations. These efforts aim to enhance competitiveness and foster sustainable growth, which help the Bank achieve the goal of creating appropriate and balanced value for all stakeholders.

In 2025, the Bank established policies, strategies, key performance indicators, targets, and implementation plans for sustainable development in line with international guidelines and standards. Performance was regularly monitored and overseen, with key achievements summarized as follows:

- **Formulated an issue-based sustainability strategy**, which integrates all dimensions of sustainability, including environmental, social, and governance, and serves as the Bank's core commitments in delivering value to all stakeholders.
- **Developed a Net Zero greenhouse gas emissions strategy for the loan portfolio on a sector-by-sector basis** (**Sector Strategy**), with the addition of the commercial real estate sector.
- **Supported customers in transitioning towards low-carbon businesses for sustainable growth** through both lending and investment, with a cumulative total of Baht 198 billion since 2022. The Bank also promoted knowledge sharing, advisory services, and the provision of necessary tools.
- **Continuously organized activities and seminars to communicate sustainability knowledge** across all stakeholder groups, such as the "EARTH JUMP 2025: Transition Thru Turbulence" seminar, as well as those for the Bank's partners and clients, and internal activities for employees.
- **Developed financial innovations to support carbon market development,** such as pilot projects on the tokenization of carbon credits and carbon credit forward transactions.
- **Collaborated with more than 37 partner organizations under the Thailand Climate Business Network (ThaiCBN)** to produce a climate ecosystem white paper aimed at driving policy changes in the public sector, and launched the "E-Handbook for Greener SMEs" to support SMEs in transitioning towards a low-carbon economy.
- **Continuously organized activities to promote and enhance financial literacy among youths**, including programs such as the AFTERKLASS AI Hackathon: Youth for Good and the Thailand Youth CASHFLOW Champions 2025.

* More details on sustainable development and materiality for KBank can be found in the Sustainability Report 2025.

❑ Corporate Governance

KBank is determined to continuously operate our business in line with good corporate governance principles. The Bank emphasizes corporate governance practices which encompass transparency, accountability and business ethics, taking all stakeholders into account. In 2025, the Bank revised charters, policies, and procedures to remain appropriate, up-to-date, and fully aligned with regulatory requirements and best practices. Key updates included the Board of Directors Charter, the Statement of Corporate Governance Principles, the Director Nomination Policy, the Code of Conduct, the Anti-Corruption Policy, the KASIKORNBANK Disclosure Policy, and the Regulation for Directors' Securities and Stock Futures Trading.

Additionally, KBank arranged communications and provided knowledge on good corporate governance principles for directors, executives and employees of KBank and companies within KASIKORNBANK FINANCIAL CONGLOMERATE, as follows:

- **Organized orientation for new directors** to provide them with information on their roles and responsibilities and KBank's business operations, including K-Strategy, good corporate governance practices, sustainable development, risk management, and the Statement of Business Conduct and the Code of Conduct.
- **Organized KASIKORNBANK Directors Workshop (Board Retreat 2025) for the Board of Directors and senior executives** to map out business directions and K-Strategy during 2026-2028.
- **Organized seminars and training sessions for directors on a regular basis**, particularly on issues related to corporate governance and sustainable development under the opportunities and challenges arising from climate change, such as "Sustainability at a Crossroads: Navigating Climate-related Financial Risks and Opportunities." Additionally, KBank communicated with directors on the discharge of their duties, important policies, and guidelines under good corporate governance and sustainable development through CG Journal and KBank Bulletin, covering topics such as silent period for securities and stock futures trading and prohibition on disclosing information related to the Bank's operating results, prevention of the use of inside information for securities trading, prevention of conflicts of interest, and the Code of Conduct.
- **Arranged training courses on the Code of Conduct and Anti-Corruption policy for executives and employees via the e-learning system,** wherein all participants were required to review and sign in acknowledgement of compliance with the Code of Conduct via the electronic system. Additionally, communications on key policies and guidelines were made via electronic system, such as interesting facts about the Code of Conduct, the Anti-Corruption Policy, the KASIKORNBANK Disclosure Policy, compliance with personal data protection law, whistleblowing channels for reporting misconduct or violations of laws, regulations, or the Code of Conduct, and internal control weaknesses.
- **Organized meetings to communicate with K Companies** regarding the governance framework, good corporate governance, the Sustainable Development Policy, principles for collaboration between KBank and K Companies, the Personal Data Protection Act, risk culture, and cybersecurity awareness.

- **Participated in the International Anti-Corruption Day (Thailand)** under the "HERO OF THE TRUST: Stop Corruption Together," concept organized by the government in collaboration with the Office of the National Anti-Corruption Commission (NACC), the Office of the Public Sector Anti-Corruption Commission (PACC), the Anti-Corruption Organization of Thailand, and multi-sector network partners.

3.2 Business Directions of KASIKORNBANK and the Wholly-owned Subsidiaries of KASIKORNBANK in 2025 and Outlook for 2026-2028

In 2025, KBank pursued its strategy based on the principles of a Bank of Sustainability, aiming to create long-term value for key stakeholders, including shareholders, customers, regulators, employees and society. This is supported by K-Culture, which promotes continuous learning and maximum operational efficiency through five core values: Customer at Heart, Collaboration, Agility, Innovativeness and Integrity. These values form a critical foundation for enhancing service quality and ensuring stable business operations, with the goal of becoming a leading financial institution in the region.

For 2026-2028, the Bank aims to elevate the customer strategy to drive sustainable growth, which places importance on customers' needs at every life stage and across all business contexts. The Bank is repositioning itself as a trusted partner with a comprehensive understanding of customers' needs through the analysis of both financial and non-financial data across all segments, including retail customers, SME entrepreneurs, and corporate clients. At the same time, the Bank is enhancing services to address all dimensions of customer needs, including financial products, business advisory, and digital support services. The focus is on designing seamless experiences that reduce complexity and increase convenience, enabling customers to receive continuous service across all channels.

To achieve these goals, KBank continues to pursue the K-Strategy 3+1 and Productivity, building on the progress made in 2025. These strategies include reinvigorating credit performance, scaling capital-lite fee income businesses as well as strengthening and pioneering sales and service channels, along with pursuing new revenue streams aligned with evolving customer behaviors and needs. All of these efforts were guided by the Bank's commitment to safeguarding its stability as one of the country's leading financial institutions and integrated risk management across all dimensions. This is complemented by the use of data and analytics to support decision-making, effective capital management, and the cultivation of a strong risk-aware culture throughout the organization. Moreover, the Bank's operations are aligned with the policies and standards of the Bank of Thailand and other regulators to ensure that business practices remain efficient, transparent, and resilient to future economic changes. The key operational approaches and major achievements under the K-Strategy 3+1 and Productivity in 2025 are summarized as follows:

3.2.1 K-Strategy 1: Reinvigorate Credit Performance

KBank formulated strategy with the aim of reinvigorating credit performance and maintaining a prudent approach towards providing secured loans, focusing on quality over quantity, to existing customers and those in the supply chain of strategic partners, including credit facilities to support the transition towards a low-carbon society and reform the lending process for efficiency. Key progress in the Bank's operations is as follows:

Key Progress	Operating Performance in 2025
• **Drove prudent loan growth** with a focus on secured lending to existing retail and business customers, under a credit selection process that prioritizes asset quality over volume. • **Continued to develop tailored credit products to meet the specific needs of different customer segments**, thereby enhancing competitiveness and supporting sustainable growth. • **Empowered high-potential entrepreneurs with appropriately structured credit facilities** aligned with the characteristics and needs of each business segment, incorporating ESG principles to foster sustainable growth. The Bank also supported vulnerable businesses through liquidity enhancement and debt restructuring, under responsible lending guidelines. • **Collaborated with leading property developers** to expand quality housing loans through selective project screening, retention of the existing customer base, and prudent portfolio management. • **Enhanced credit underwriting processes and customer data analytics** to improve operational efficiency in credit card and personal loan businesses, while strengthening portfolio quality and sustainable growth. • **Implemented a prudent SME lending strategy**, focusing on growth from the Bank's existing high-potential customers amid structural challenges, in order to maintain asset quality and portfolio stability. • **Enhanced the PLUSTINUM credit card** to stimulate everyday spending among high-potential customers by offering additional privileges on lifestyle-related spending categories, such as dining, travel, and online shopping.	**Loans to Customers:** - Declined 0.28 percent from the end of 2024 **Asset Quality:** • NPL Ratio: 3.20 percent • Credit Cost: 1.63 percent • Coverage Ratio: 162.75 percent

3.2.2 K-Strategy 2: Scale Capital-Lite Fee Income Businesses

KBank focuses on scaling capital-lite fee income businesses by offering investment and insurance products that meet the customers' needs, along with developing digital platforms both at home and in other regional countries, with the aim of becoming a leader in digital payment services. Key progress in the Bank's operations is as follows:

Key Progress	Operating Performance in 2025
Wealth Management and Bancassurance Business • **Comprehensive & Competitive Product Offering:** - **Mutual Fund Products:** The Bank maintained its market leadership in fixed income funds and core portfolio, reflecting strategic product selection success focusing on diversified global funds to brace for volatile market conditions and encouraging customers to build long-term sustainable portfolios. Key products include WealthPLUS Series and K Global Dynamic Bond (K-GDBOND), which helped drive the growth in asset value, with a share of one-third of total industry AUM. - **Life Insurance Products:** Market leader in new life insurance premiums, driven primarily by products in the retirement planning, savings, and legacy and wealth transfer segments, supported by multiple new product launches addressing underserved senior segments and high-net-worth customers. - **Gold Investment:** Promoted digital gold investment and trading via K PLUS, which received strong customer response, both total gold trading value and number of customers. - **Foreign Currency Deposit Accounts (K-eFCD):** This product allows customers to open up to five foreign currency deposit accounts on K PLUS, offering a choice of 10 major currencies, with full transaction capabilities and no maintenance fees. • **Sales and Service Model Enhancement with Digital Technology:** - **Triggers for Master RM:** Enhanced RM sales effectiveness by identifying the right moment for customer engagement through data-driven triggers. - **Master RM & Specialist Business Model:** Initiated an approach that combines the strengths of relationship managers and investment specialists in meeting customers in Phuket, which has the second-highest number of high-net-worth customers in the country. - **Digital Engagement:** Provided personalized investment information for each customer via K PLUS, based on changes in market conditions to encourage investment decisions, such as portfolio profit/loss reports along with appropriate recommendations. • **Strengthening KBank Wealth Brand:** - **Elevated the K WEALTH brand** under the "Your Future-Ready Wealth" concept, positioning the Bank as a lifelong trusted financial advisor. This was achieved by integrating expertise from specialist teams, advisory technology, and strategic partnerships with global partners including J.P.	**Mutual Funds:** • Assets under Management (AUM): - Ranked No. 1 in terms of AUM with 22.6-percent market share - Growth: 12.9 percent from the end of 2024 • Number of new customers: 169,000 **Bancassurance:** • The market share of new life insurance premiums ranked first at 20.5 percent - Growth: 10.5 percent from the end of 2024 • Number of new customers: 108,000 • Customer satisfaction rate of K-Health Service: 96 percent (with no dispute cases)

Key Progress	Operating Performance in 2025
Morgan Asset Management and Lombard Odier, to enhance the capabilities and service quality of the Bank's wealth management personnel. - **New Privileges for THE WISDOM**: The use of THE WISDOM UP & MORE PERSONALIZED privileges grew from the prior year, reflecting increased customer engagement and positive responses towards new privileges that better meet customer needs.	
Payment • **Growth Areas:** - **Foreign Exchange Business:** Despite a decline in foreign tourist arrivals, income recorded slight growth, supported by the expansion of the ATM network in strategic locations and the launch of K+ Go Inter to facilitate overseas spending. - **Merchant Business:** Steady growth seen in income, buoyed by new income sources and new customers, effective investment portfolio management, and strong profitability performance. - **Corporate Funds Transfer:** Income reported significant growth from the previous year, driven by a proactive strategy to expand the Corporate API customer base. - **Cross-Border Funds Transfer:** Income recorded growth compared with last year, supported chiefly by the import document business, inward and outward remittances, and the rapid growth of low-value transfers. Additionally, Remit Link (BaaS), an international money transfer service, was successfully launched to the market as planned. • **Declining Fee Areas:** - **Debit Card:** Income declined less than expected, supported by the launch of new themed cards and increased spending driven by promotional campaigns. - **SMS Alert:** Income fell less than expected, due mainly to effective management of unprofitable accounts, including high-usage customers and delinquent customers.	**Payment** • Digital Payment* - Market share: ~30 percent ** Source: The Bank of Thailand* • CASA Ratio: 82.02

3.2.3 K-Strategy 3: Strengthen and Pioneer Sales and Service Models to Deliver Value-based Results

KBank prioritizes strengthening all service channels to enable seamless and efficient customer accessibility to the Bank's services by creating a digital-first experience that integrates human assistance, under appropriate cost and risk management. Key progress in implementation is as follows:

Key Progress	Operating Performance in 2025
• **Enhanced Digital-First Experience:** Increased digital sales and onboarding, as well as digital transactions, driven by the following initiatives: - **Expanded comprehensiveness of wealth product offerings and portfolio views** covering 11 asset classes, such as gold savings in Thai Baht with physical redemption at partnered gold shops, electronic foreign currency deposit (e-FCD) account opening, and goal-based portfolio planning. - **Enhanced personalized investment recommendations**, such as mutual fund gain and loss triggers. - **Improved customer onboarding journey via digital channels**, particularly for travel insurance products. • **Strengthened Leading Position in Digital Banking:** KBank maintained No.1 position in the number of users across retail and business customer segments. - **K PLUS for retail customers:** The monthly active user rate rose from 76 percent to 78 percent. This was driven by budget control enhancement through K-ePocket – a savings account that helps customers manage savings and expenses based on specific purposes, promoting financial discipline under the "Better Finance for Better Life" concept, complemented by "Pay Like a Local" experience through international payment coverage expansion from 66 to 72 countries. - **K BIZ for business customers:** K BIZ mobile banking application was launched to improve transaction convenience, while enhancing business agility through self-service expansion such as digital merchant application and user management. • **Achieved Channel Productivity:** Cost per transaction was improved by 13 percent through: - **Optimized branches and electronic machines** in line with right-sizing strategies, while relocating e-Machines to tourist destinations to increase foreign exchange transaction revenue. - **Promoted digital self-services** to improve customer convenience, leading to a 9-percent decline in branch transactions and an 8-percent decrease in contacts via the K-Contact Center compared with the same period last year.	• **Number of domestic K PLUS users:** - 24.2 million users - Growth: 4.8 percent YoY • **Number of K BIZ users:** - 1.4 million users - Growth: 19.0 percent YoY • **Digital Transaction:** Increased to 94.7 percent • **Branch Network*:** - 732 branches - A net decline of 49 branches from the end of 2024 **Excluding four branches classified as other branch platforms per the Bank of Thailand's condition* • **Self-Service Channel (K-ATM and K-CDM):** - 9,943 machines - A net decline of 343 machines from the end of 2024 • **No.1 in Overall Brand NPS** according to 2025 survey results (Branch, e-Machine, K PLUS and K-Contact Center)

3.2.4 K-Strategy +1: New Revenue Creation for Medium and Long Term

KBank has a policy of exploring new business opportunities to generate new revenue streams under robust risk management through key business units, as outlined below:

- **Broadening our Reach to the Mass Market and the Underbanked with Limited Access to KBank Services:** This endeavor is carried out through investments of KASIKORN INVESTURE CO., LTD. (KIV) in companies engaged in lending, payment services, and asset management. Focus was on enhancing service agility for retail customers and reducing costs associated with the credit risks by leveraging the capabilities of strategic partners and the Bank's infrastructure, with the establishment of subsidiaries, as follows:
  - **NGERN HAI JAI CO., LTD.:** The company offers car title pledge loan services, both with and without transfer of the car title. In 2025, the outstanding loan balance grew by 9.5 percent YoY.
  - **KASIKORN LINE CO., LTD.:** The company provides a new type of personal loans for retail customer via digital channels, using a new credit scoring model to control costs, together with data analytics to consider increasing credit limits for existing customers with good repayment discipline. This creates greater opportunities to expand higher-quality lending among both existing and new customers. In 2025, the company's performance turned positive, with outstanding loan balance growing by 25 percent YoY. The platform had a total of 8.4 million users.
  - **JK ASSET MANAGEMENT CO., LTD.:** The company operates as an asset management business.
  - **KASIKORN GLOBAL PAYMENT CO., LTD.:** The company provides payment gateway services as an intermediary to build up business synergy within KIV. The company focused on expanding customer base with new merchants and increasing the volume of services among existing customers. Emphasis was also placed on managing key accounts and developing new tools to continually drive business growth.

- **Becoming a Leading Regional Financial Service Provider**: This endeavor will be achieved by creating channels to access international markets, including the People's Republic of China, the Republic of Indonesia, and the Socialist Republic of Vietnam, along with offering services that support cross-border transactions and businesses of customers. Major operations are as follows:
  - **People's Republic of China**: KASIKORNBANK (CHINA) CO., LTD. focuses on providing services that support investment and trade expansion of Chinese firms in the Southeast Asian region, reflecting the growing connectivity of regional economies. Key operations included:
    - **Corporate and SME**: Syndicate loans and deposits among the SINO-AEC customer segment grew steadily in line with the Bank's strategy to support Chinese companies investing in Thailand and other ASEAN countries, particularly the Socialist Republic of Vietnam and the Republic of Indonesia. Focus was also on offering foreign exchange services in Vietnamese Dong and cross-currency swap to facilitate smooth cross-border transactions for clients and their trading partners.

- **Retail**: Deposit products in Chinese Yuan and US Dollars were introduced to high-net-worth individuals, along with privileges from application for KBank THE WISDOM Card, catering to the needs of customers doing business in Thailand.

- **Republic of Indonesia**: PT Bank Maspion Tbk focuses bank-wide transformation to build a strong foundation for sustainable growth. Major operations were as follows:
  - **Corporate**: Emphasis was placed on expanding loans to multinational corporations and initiating broader outreach to state-owned enterprises. Additionally, the Bank promoted products and services that support both domestic and international transactions.
  - **SME**: High-quality secured loans for medium-sized enterprises were promoted to facilitate quality growth.
  - **Retail**: Notable effort was expanding the deposit base, particularly current accounts and savings accounts (CASA). Focus was also on promoting bill payment acceptance via QR code under the Quick Response Code Indonesia Standard (QRIS), with more than 12,000 participating merchants thus far.
- **Socialist Republic of Vietnam**: Major operations included:
  - **Corporate**: Emphasis was placed on prudent credit extension, particularly among clients in industries with growth potential. Other key actions were managing financial costs amid volatile interest rates while increasing the proportion of non-interest income.
  - **SME**: Efforts were made to expand the payment service business for small and micro retail merchants through payment acceptance products via electronic media and utilization of customer transaction data for the consideration of lending services.
  - **Retail**: Focus was on expanding the credit card base, one of the Bank's core products, while offering cross-selling complementary financial products to build a solid deposit base and facilitate long-term sustainable growth. In 2025, the number of K PLUS Vietnam users reached 1.58 million, a 4.09 percent increase from the end of 2024.

- **Developing Innovation for Future Growth:** Building upon the traditional banking business in alignment with consumer behavior, technology, and competitive dynamics, to enhance growth and create new revenue streams. Key initiatives include the following:
  - **Financial Innovation**
    - **MAKE** – an application for managing savings and monthly expenses to build financial discipline. In 2025, MAKE had 4.3 million users and more than Baht 30 billion in deposits within the MAKE by KBank. This growth was supported by the introduction of a subscription package called MAKE Max.
    - **KhunThong** – a social chatbot for payment collection in LINE group chats – had more than 3 million users.
    - **MeowJot** – an application that records and summarizes expenses from e-slips of mobile banking transactions. In 2025, MeowJot had 644,000 users, driven by expanded capabilities to include

expense recording from credit cards in addition to transfer transactions, along with the introduction of a gamification feature to encourage regular expense tracking.

- **AI solutions for businesses** with more than 20 business partners adopting these services, namely:
  (1) AINU: AI-powered face liveness detection for identity verification with SOC 2 Type II certification.
  (2) InsurTech: AI-driven service for vehicle damage inspection and preliminary assessment from photos, enhancing efficiency in the insurance claim process.
  (3) AINU AppGuard: A security solution designed to detect threats or risky behaviors that could compromise applications, with alert mechanisms to mitigate risks and maintain security standards.

- Future of Finance
  - **Orbix Trade – a digital asset exchange**: Enhancing and developing a platform to better meet customers' needs and improve user experience/user interface (UX/UI), such as streamlining the account opening process for greater efficiency, along with launching marketing campaigns to attract target customers and retain existing users. Additionally, improvements were made to risk management and abnormal transaction detection systems, including mule account prevention to enhance security and strengthen user confidence in the service.
  - **Orbix Invest – a digital asset fund manager**: Enhancing sales channels and system efficiency to better meet investors' needs, particularly those of target customers, including high-net-worth individual and corporate clients.
  - **Orbix Custodian – a licensed digital asset custodial wallet provider**: The company became the first in Thailand to be granted a license to operate as a digital asset custodian and officially commenced operations in March 2025.
  - **Orbix Technology – a blockchain infrastructure developer under Quarix Chain**: Providing services to KASIKORNBANK FINANCIAL CONGLOMERATE and external business partners. Currently, several innovations utilizing the Quarix Chain infrastructure are under testing within the Bank of Thailand's regulatory sandbox.
    (1) Q-money by KBank: Launching a trial of Q Wallet, a blockchain-based digital wallet that provides cross-border payment services for foreign tourists using stablecoins. Additionally, it participated in the "Outbound Tourist Using Regulated Stablecoin & e-money" pilot project, enabling Thai tourists to use Q-money to pay for goods and services in the Republic of Singapore.
    (2) Q-Bond: A trial of bond data storage innovation using blockchain technology, including the calculation and payment of bond interest and principal, as well as payment settlement via Q-money instead of cash.

- **Kubix – an ICO portal service provider:** Creating a new dimension for fundraising through digital tokens, enabling businesses to access alternative funding sources more easily while connecting investors with new investment opportunities in the digital world.

- **Uplift Banking**
  - **SKILLKAMP:** An e-Marketplace platform featuring certified online learning courses. Currently, the platform offers over 450 accredited courses, with more than 24,000 registered users.
  - **Koncierge+:** An IT solution platform for hospitality business management, enabling entrepreneur clients to connect with hospitality support service providers across 17 services, including room management, automated room rate comparison and calculation, sales channel management, hotel operations management, digital marketing, housekeeping services, accounting management, loyalty program, AI chatbot, guest/customer services, point-of-sale (POS) management, self-service (kiosk), energy management, tourism services, and green hotel certification. Moreover, the platform provides greater access to the Bank's financial services, such as payments and lending.

- **Sustainability**
  - **WATT'S UP:** An e-Marketplace platform for electric motorcycle (EV Bike) rentals that leverages service data to expand into related financial services, such as green loans and insurance products. Currently serving over 10,000 users, the platform provides EV Bike rentals, station locators, and a network of more than 120 battery-swapping stations across the Bangkok Metropolitan Region.
  - **GreenPass:** A platform for the registration and selling of Renewable Energy Certificates (RECs), developed in collaboration with Innopower Company Limited. The platform enables retail and business customers with solar rooftop installations to generate additional income by making the REC registration and sales process simple, convenient, and free of charge. GreenPass is the first platform in Thailand dedicated to empowering small-scale power producers and businesses to monetize their renewable energy production.
  - **KCLIMATE 1.5:** A service provider specializing in greenhouse gas (GHG) management and processing software, as well as ESG data reporting. The company supports KASIKORNBANK FINANCIAL CONGLOMERATE by providing critical data for the consideration of financial services. Additionally, it offers green-related business services to the general public, as permitted by the Bank of Thailand.
  - **Creative Climate Research Center (CCRC):** An integrated hub for knowledge and research dedicated to Net Zero goals. The center aims to provide knowledge, research, and foster domestic and international partnerships to develop Thailand's climate ecosystem, ensuring the country is prepared for a sustainable transition.

3.3 Key Enablers

- **Data Intelligence and IT Integration**

The Bank focuses on data management and leverages data analytics to enhance operational efficiency that encompasses all cores of the Bank's strategies, with emphasis placed on building important foundational capabilities. These include effective collaboration between business and IT units, maintaining modern technology and infrastructure for sound data and AI management, and continuously developing the capabilities of workforce, as follows:

1. **Supporting financial and operational effectiveness** by leveraging data and AI capabilities to analyze and enhance business-critical operations. These include debt collection analytics, fraud detection, early warning analysis for CASA deposit trends and cash flows, appropriate transaction limit analysis for K-Merchant businesses, and digital mule account analysis. In addition, the Bank promotes the use of AI to improve employee productivity, ranging from research, data analysis, coding assistance, language translation and content creation.
2. **Enhancing BU-IT integration capability in an efficient manner** through the design and development of data-driven business solutions leveraging the capabilities of AI and IT, enabling the Bank to meet customer needs more accurately. This approach focuses on ensuring adequate resource allocation for high-priority projects to support on-time and on-budget delivery. These efforts enable the Bank to achieve targeted business outcomes and generate a return on investment that exceeds the minimum hurdle rate.
3. **Developing data and AI management framework in an efficient manner**, based on the principles of responsible data usage through secure data storage, high data quality, and cloud-based data management. This involves establishing modern and enforceable data policies, defining standard business data on the platform, and establishing guidelines to ensure that data quality meets defined standards. The Bank has developed knowledge management tools using GenAI for data definition search and established an AI governance framework that aligns with Responsible AI Principles.
4. **Enhancing technology and infrastructure** to ensure that the big data and AI platforms are efficient, cost-effective, secure, and reliable as a foundational support for operations of the Bank. Data from key sources was migrated to cloud-based modern data platform (MDP) according to the plan, usage quotas were implemented to control costs, and core users – including data analysts and MIS teams – began onboarding to the new platform.
5. **Developing people** by promoting data and AI literacy and fostering the right mindset across all levels of the organization through various forms of activities and learning materials. This includes hosting AI Masterclass sessions to strengthen GenAI skills among executives and employees, knowledge-sharing initiatives on data and AI, and the establishment of data and AI communities and clinics that serve as platforms for exchanging ideas and upskilling employees across the organization.

IT Management

KASIKORN BUSINESS-TECHNOLOGY GROUP (KBTG) is committed to strengthening and enhancing the capabilities of KASIKORNBANK FINANCIAL CONGLOMERATE in alignment with the Bank's strategies. This will be achieved through cost-effective technological development and maintenance of system and technology stability to build customer confidence and enhance the Bank's competitive advantage, as follows:

1. **IT projects**: These include enhancing credit processes to align with international best practices, as well as upgrading systems supporting ATM services, mutual funds, and credit cards to better meet business objectives and address the needs of customers in the digital era, with an emphasis on agility and reduced redundancy.
2. **Building confidence through operational IT excellence:** Our two main data centers are highly resilient, capable of withstanding earthquakes with epicenters near Thailand of up to 7 on the Richter scale. Infrastructure and IT system stability are continuously enhanced to ensure seamless transactions and business operations for customers and partners.
3. **Becoming an AI-driven organization:** Focus was on integrating AI capabilities and world-class technologies into business operations and IT functions. Key initiatives include:
   - **Developing Analytics AI and GenAI to support decision-making and improve operational efficiency** across the credit process, asset management, wealth management, marketing, and customer service, including chatbot development to enhance service efficiency and customer satisfaction.
   - **Applying AI and GenAI to internal processes**, covering system development and quality management, cybersecurity for threat detection, and system stability management, in order to support continuous customer service, enhance data retrieval and analytical intelligence, and increase overall operational efficiency.
   - **Promoting and developing KBTG personnel capabilities** through hands-on learning initiatives such as the KBTG AI Festival, which provides employees with opportunities to showcase AI applications, develop new products or services, and enhance or upgrade work processes.
   - **Supporting the development of Trustworthy AI** by joining the AI Alliance, a global partnership network that promotes safe, transparent, and reliable AI. KBTG has advanced Trustworthy AI through verifiable and sustainable AI models while sharing expertise and technology with partners and developers.

■ Human Resource Management

KBank manages human resources under the concept of “Productivity FITS” to enhance the efficiency of managing and developing high-potential personnel in line with the Bank's strategy. Key operations included the following:

1. **Workforce Optimization:** Implemented productivity initiatives with a focus on the application of AI technologies and lean processes, including strategic employee mobilization to revenue-generating functions, to ensure that workforce composition and skill mix remain aligned with the Bank’s business plans. These initiatives were extended across KASIKORNBANK FINANCIAL CONGLOMERATE, together with continuous monitoring and evaluation of personnel expenditure effectiveness.
2. **Performance-Driven Rewards:** Adjusted the compensation model to more closely align pay with performance, in line with a performance-driven culture. This included enhancing the long-term compensation structure to provide greater flexibility in managing personnel costs efficiently, while ensuring linkage and competitiveness in the labor market.
3. **Capable Workforce and Leaders:** This initiative was implemented through an executive development program, which focuses on cultivating division heads to become leaders who build teams that execute strategic goals. In parallel, the Bank enhanced the core competencies of First Senior Vice Presidents (FSVPs) through programs such as “The Art of High-Stakes Decisions” and “Storify Your Thoughts for Business Impact.” Furthermore, ongoing professional development is supported through leading digital learning platforms.

   To support business goals, the Bank placed emphasis on developing strategic capabilities within divisions directly linked to core businesses. Focus was on enhancing the agility and responsiveness of executives and employees in wealth management and credit products. Additionally, Relationship Managers (RMs) were encouraged to practice their selling skills by using AI to enhance effectiveness in offering financial products to customers. The Bank also provided training programs to strengthen future skills for employees at all levels, with the goal of achieving 100-percent organization-wide coverage of basic AI and lean productivity skills in 2025. This has led to the development of multiple AI-driven use cases across the Bank.
4. **Productivity Culture and Engagement:** Employees across the organization contributed more than 2,000 ideas to improve operational efficiency. Of these, 54 initiatives were selected for implementation under the “Productivity STAR Mission” project. These initiatives enabled the Bank to streamline processes based on the ‘8 Wastes’ principles by integrating technology and AI to enhance resource efficiency, improve employees’ quality of work life, and deliver better customer service. Additionally, eight outstanding pilot projects were showcased at the Bank’s 2025 Annual Management Seminar, reinforcing the Bank’s commitment to building a sustainable, performance-driven organizational culture.

4. Operating Performance and Financial Position

4.1 Operating Performance

Thailand's economy in 2025 faced pressure from both structural challenges and negative factors throughout the year. Support from the export sector and domestic interest rate cuts proved insufficient to offset the pressures stemming from the broader economic slowdown. These factors affected business operations across multiple dimensions. In response, KBank and its subsidiaries continued to conduct business with prudence, guided by the K-Strategy 3+1 and Productivity to enhance operational efficiency, with the aim of delivering sustainable value to all stakeholders – including depositors, investors, retail customers, and corporate clients – while providing sustainable returns to shareholders. In addition, the Bank remained fully committed to supporting government initiatives to assist customers amid an uncertain economic environment.

Operating Performance for 2025

(Unit: Million Baht)

	2025	2024 (Restated)	Change Increase (Decrease)	Change Percent
Net Interest Income	137,152	148,004	(10,852)	(7.33)
Non-Interest Income	57,648	50,240	7,408	14.75
Total Operating Income – net	194,800	198,244	(3,444)	(1.74)
Total Other Operating Expenses	84,849	84,250	599	0.71
Expected Credit Loss	40,312	47,251	(6,939)	(14.69)
Net Profit (attributable to equity holders of the Bank)	49,565	49,604	(39)	(0.08)
Basic Earnings per Share (Baht) [1)]	20.63	20.63	-	-

[1)] Basic Earnings per Share = Net profit (attributable to equity holders of the Bank) deduct dividend from other equity instruments after income tax divided by common shares outstanding

For operating performance in 2025, the Bank and its subsidiaries reported net profit attributable to equity holders of the Bank of Baht 49,565 million, almost on par with the previous year. Operating profit before expected credit loss and income tax expense was Baht 109,951 million, a decrease of Baht 4,043 million or 3.55 percent from the previous year. This was mainly due to net interest income of Baht 137,152 million, a decrease of Baht 10,852 million or 7.33 percent, slowing on account of the prevailing interest rate environment and lending rate cuts during the year to assist customers, as well as a slowdown in loan growth. As a result, net interest margin (NIM) declined to 3.23 percent.

However, non-interest income totaled Baht 57,648 million, an increase of Baht 7,408 million or 14.75 percent, due mainly to: 1) growth in insurance service result; 2) growth in net fees and service income, primarily from customer's wealth management service; and 3) gains on financial instruments and investment income, driven by an investment diversification strategy and the generation of appropriate returns in alignment with prevailing market conditions.

Other operating expenses amounted to Baht 84,849 million, a slight increase of Baht 599 million or 0.71 percent, including additional special project expenses related to employee support. Cost to income ratio therefore stood at 43.56 percent, reflecting the Bank and its subsidiaries' continued focus on productivity enhancements. Additionally, the Bank and its subsidiaries set aside expected credit loss (ECL) of Baht 40,312 million, a decrease of Baht 6,939 million or 14.69 percent. This was undertaken under a consistently prudent approach to ensure that the ECL level remains appropriate, aligned with prevailing conditions, and sufficient to cushion against economic uncertainties.

Major financial ratios that reflected operating performance of the Bank and its subsidiaries in 2025 compared to the previous year included:

(Unit: Percent)

Financial Ratio	2025	2024 (Restated)	Increase (Decrease)
Return on Assets (ROA)	1.11	1.15	(0.04)
Return on Equity (ROE)[2)]	8.62	9.13	(0.51)
Net Interest Margin (NIM)	3.23	3.60	(0.37)
Cost to Income Ratio	43.56	42.50	1.06

[2)] Return on average equity (ROE) = Net profit (attributable to equity holders of the Bank) deduct dividend from other equity instruments after income tax calculated on an annualized basis divided by average equity of equity excluded other equity instruments at the beginning of the quarter / period / year and equity at the end of the quarter / period / year

(Unit: Percent)

Financial Ratio	2025	2024 (Restated)	Increase (Decrease)
Significant increase in credit risk loans[3)] to total loans[4)]	7.30	7.41	(0.11)
Significant increase in credit risk loans and non-performing loans[5)] to total loans[4)]	10.45	10.54	(0.09)
NPLs gross[6)] to total loans[7)]	3.20	3.20	-
Total allowance for expected credit loss[8)] to NPL gross (Coverage ratio)	162.75	152.34	10.41
Loans[9)] to Deposits Ratio	86.89	91.36	(4.47)
Capital Adequacy Ratio[10)]	20.35	20.35	-
Tier 1 Capital Ratio[10)]	18.38	18.37	0.01

[3)] Significant increase in credit risk loans used in calculation are loans to customers and loans to financial institutions which credit risk has increased significantly

[4)] Loans used in calculation are loans to customers and loans to financial institutions and accrued interest receivables and undue interest receivables

[5)] Credit impaired loans used in calculation are loans to customers and loans to financial institutions which credit risk has impaired

[6)] NPL gross used in calculation are loans to customers and loans to financial institutions of non-performing loans

[7)] Loans used in calculation are loans to customers and loans to financial institutions

[8)] Included allowance for expected credit loss of loan commitment and financial guarantee, deposit to financial institutions, investments and other financial assets

[9)] Loans = Loans to customers

[10)] KASIKORNBANK FINANCIAL CONGLOMERATE's Capital Adequacy Ratio (CAR)

❑ Net Interest Income

KBank's consolidated net interest income for 2025 was Baht 137,152 million, decreasing by Baht 10,852 million or 7.33 percent over-year. The decrease could be attributed to interest income from loans which dropped by Baht 16,524 million or 12.03 percent in line with the prevailing interest rate environment and lending rate cuts during the year to assist customers, as well as a slowdown in loan growth. However, interest income from investments and trading transactions rose by Baht 3,902 million or 13.27 percent due mainly to an increase in average transaction volume. Meanwhile, interest expenses from deposits decreased by Baht 2,274 million or 12.21 percent due primarily to the decreasing average interest rate. Interest expenses from interbank and money market items also declined by Baht 699 million or 16.26 percent, driven mainly by the decreasing average interest rate whereas the average transaction volume rose.

(Unit: Million Baht)

	2025	2024 (Restated)	Change Increase (Decrease)	Change Percent
Interest Income	**173,625**	**188,068**	**(14,443)**	**(7.68)**
Interbank and money market items	11,457	13,495	(2,038)	(15.10)
Investments and trading transactions	33,295	29,393	3,902	13.27
Loans to customers	120,777	137,301	(16,524)	(12.03)
Hire purchase and finance leases	8,096	7,879	217	2.76
Interest expenses	**36,473**	**40,064**	**(3,591)**	**(8.96)**
Deposits from customers	16,350	18,624	(2,274)	(12.21)
Interbank and money market items	3,596	4,295	(699)	(16.26)
Contributions to Financial Institutions Development Fund and Deposit Protection Agency	12,416	12,302	114	0.93
Debts issued and borrowings	4,053	4,752	(699)	(14.71)
Others	58	91	(33)	(36.84)
Total Interest Income – net	**137,152**	**148,004**	**(10,852)**	**(7.33)**
Yield on Earning Assets (percent)	4.08	4.58		(0.50)
Cost of Fund (percent)	1.19	1.34		(0.15)
Net Interest Margin (NIM) (percent)	**3.23**	**3.60**		**(0.37)**

❑ Non-Interest Income

For 2025, KBank's consolidated non-interest income totaled Baht 57,648 million, increasing by Baht 7,408 million, or 14.75 percent over-year. The increase was attributable mainly to insurance service result which rose by Baht 2,171 million or 17.59 percent and net fees and service income which increased by Baht 1,955 million or 5.85 percent, derived primarily from fee income from customer's wealth management service through the offering of comprehensive financial products from the Bank, its subsidiaries, as well as partners, in line with market conditions; fee income from domestic and international funds transfer service; as well as gains on financial instruments and

investment income, driven by an investment diversification strategy and the generation of appropriate returns in alignment with prevailing market conditions.

(Unit: Million Baht)

	2025	2024 (Restated)	Change Increase (Decrease)	Change Percent
Non-Interest Income				
Fees and Service Income	56,122	52,123	3,999	7.67
Fees and Service Expenses	20,733	18,689	2,044	10.94
Fees and Service Income – net	**35,389**	**33,434**	**1,955**	**5.85**
Gain (Loss) on Financial Instrument measured at Fair Value through Profit or Loss	14,987	13,201	1,786	13.53
Gain (Loss) on Investments	1,352	45	1,307	2,880.94
Share of Profit (Loss) from Investments using Equity Method	822	981	(159)	(16.22)
Dividend Income	3,386	3,526	(140)	(3.96)
Insurance Service Result	14,513	12,342	2,171	17.59
Other Operating Income	3,455	2,944	511	17.37
Less Net Insurance Finance Expenses	16,256	16,233	23	0.14
Total Non-Interest Income	**57,648**	**50,240**	**7,408**	**14.75**

❑ Other Operating Expenses

KBank's consolidated other operating expenses for 2025 were Baht 84,849 million, a slight increase of Baht 599 million, or 0.71 percent over-year. The figure included additional special project expenses related to employee support. The Bank continued to place emphasis on productivity improvements.

(Unit: Million Baht)

	2025	2024 (Restated)	Change Increase (Decrease)	Change Percent
Employee Expenses	42,876	41,435	1,441	3.48
Directors' Remuneration	246	207	39	18.67
Premises and Equipment Expenses	11,437	11,338	99	0.87
Taxes and Duties	5,599	6,291	(692)	(11.00)
Others	24,691	24,979	(288)	(1.15)
Total Other Operating Expenses	**84,849**	**84,250**	**599**	**0.71**
Cost to Income Ratio (percent)	**43.56**	**42.50**		**1.06**

❑ Classified Loans and Expected Credit Loss

- **Classified Loans**

KBank and its subsidiaries classified loans into three levels per TFRS 9. The classified loans in stage 2 include the loans with significantly increasing credit risk since initial recognition but without credit impaired. As of December 31, 2025 and December 31, 2024, loans with significantly increasing credit risk (underperforming

loans) to total loans ratio was equal to 7.30 percent and 7.41 percent, respectively, whereas loans with significantly increasing credit risk (underperforming loans) and credit impaired loans (non-performing loans) to total loans ratio was equal to 10.45 percent and 10.54 percent, respectively.

(Unit: Million Baht)

	Dec. 31, 2025		Dec. 31, 2024 (Restated)	
	Loans and Accrued Interest Receivables[1)]	Allowance for Expected Credit Loss	Loans and Accrued Interest Receivables[1]	Allowance for Expected Credit Loss
Stage 1 Performing	2,190,153	42,527	2,193,345	37,862
Stage 2 Underperforming	213,664	55,447	215,701	49,712
Stage 3 Non-performing	91,950	45,023	91,309	44,132
Total	**2,495,767**	**142,997**	**2,500,355**	**131,706**

[1)] Including loan to customers and accrued interest and undue interest receivables

- **Modified Loans**

KBank and its subsidiaries engaged in modification contracts with customers. In 2025, there were loans before modification amounting to Baht 26,196 million and incurred losses amounting to Baht 520 million.

- **Expected Credit Loss**

KBank and its subsidiaries set aside expected credit loss of Baht 40,312 million for 2025, a decrease of Baht 6,939 million or 14.69 percent over-year. The Bank maintained our consistently prudent approach to ensure that the level of its expected credit loss is appropriate and sufficient to withstand economic uncertainties. As a result, our expected credit loss to average loans for 2025 stood at 1.63 percent, and our coverage ratio as of December 31, 2025 was equal to 162.75 percent.

Expected Credit Loss

(Unit: Million Baht)

	2025	2024 (Restated)	Change Increase (Decrease)	Change Percent
Expected Credit Loss	40,312	47,251	(6,939)	(14.69)
Expected Credit Loss to Average Loan (percent)	1.63	1.91		(0.28)

Allowance for Expected Credit Loss

As of December 31, 2025, our consolidated allowance for expected credit loss totaled Baht 142,997 million.

— **Non-Performing Loans and Properties Foreclosed**

Non-Performing Loans

As of December 31, 2025, financial conglomerate's NPLs stood at Baht 93,533 million, or 3.20 percent of the total outstanding credit, including that of financial institutions. KBank's NPLs totaled Baht 87,056 million, or 3.13 percent of the total outstanding credit, including that of financial institutions. The NPLs data is shown in the table below:

Non-Performing Loans

(Unit: Million Baht)

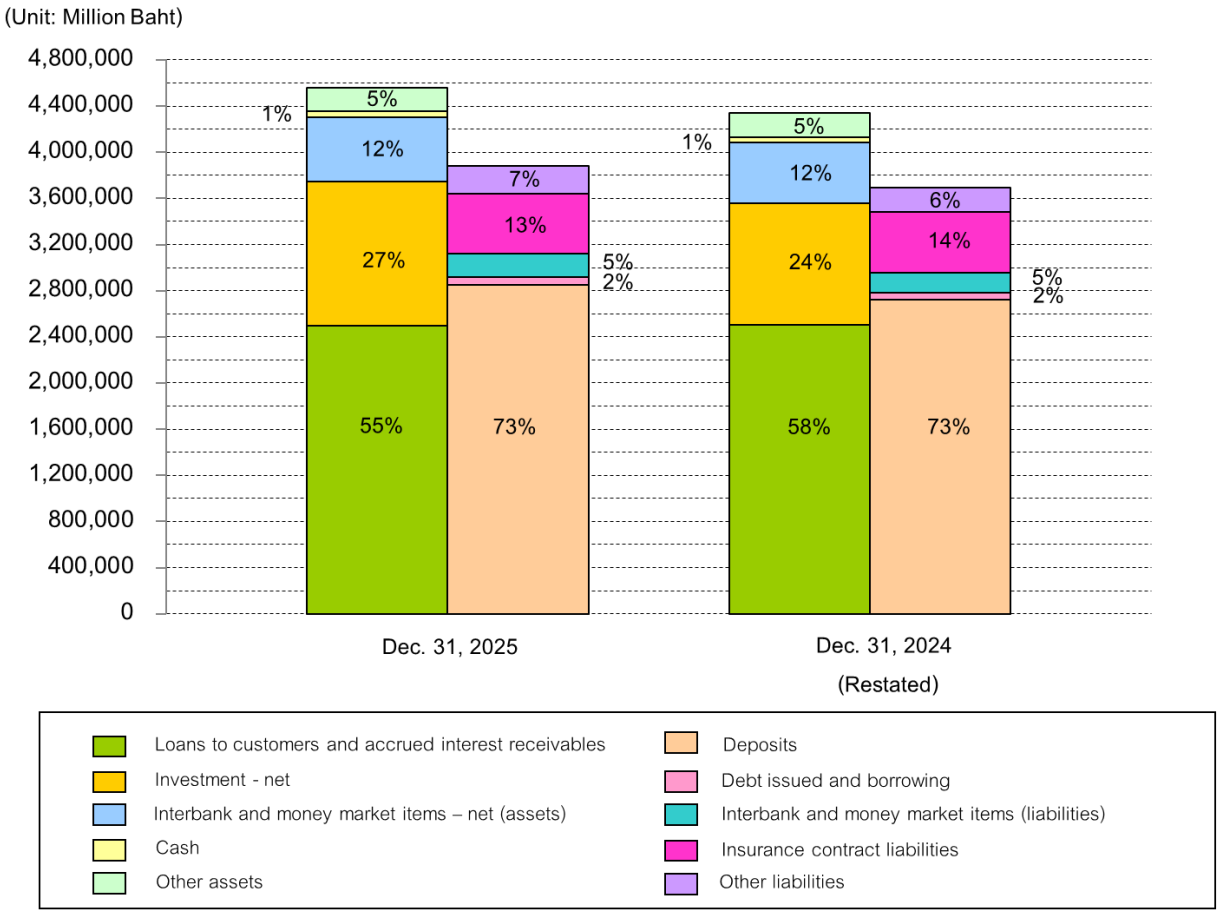
	Dec. 31, 2025	Dec. 31, 2024 (Restated)
Financial conglomerate NPLs	93,533	93,009
Percent of total outstanding credit, including that of financial institutions	3.20	3.20
KBank NPLs	87,056	86,092
Percent of total outstanding credit, including that of financial institutions	3.13	3.11

Properties Foreclosed

As of December 31, 2025, the Financial Conglomerate properties foreclosed had a net value of Baht 58,178 million, thus being 1.28 percent of total assets.

4.2 Financial Position

Assets and Liabilities Structure

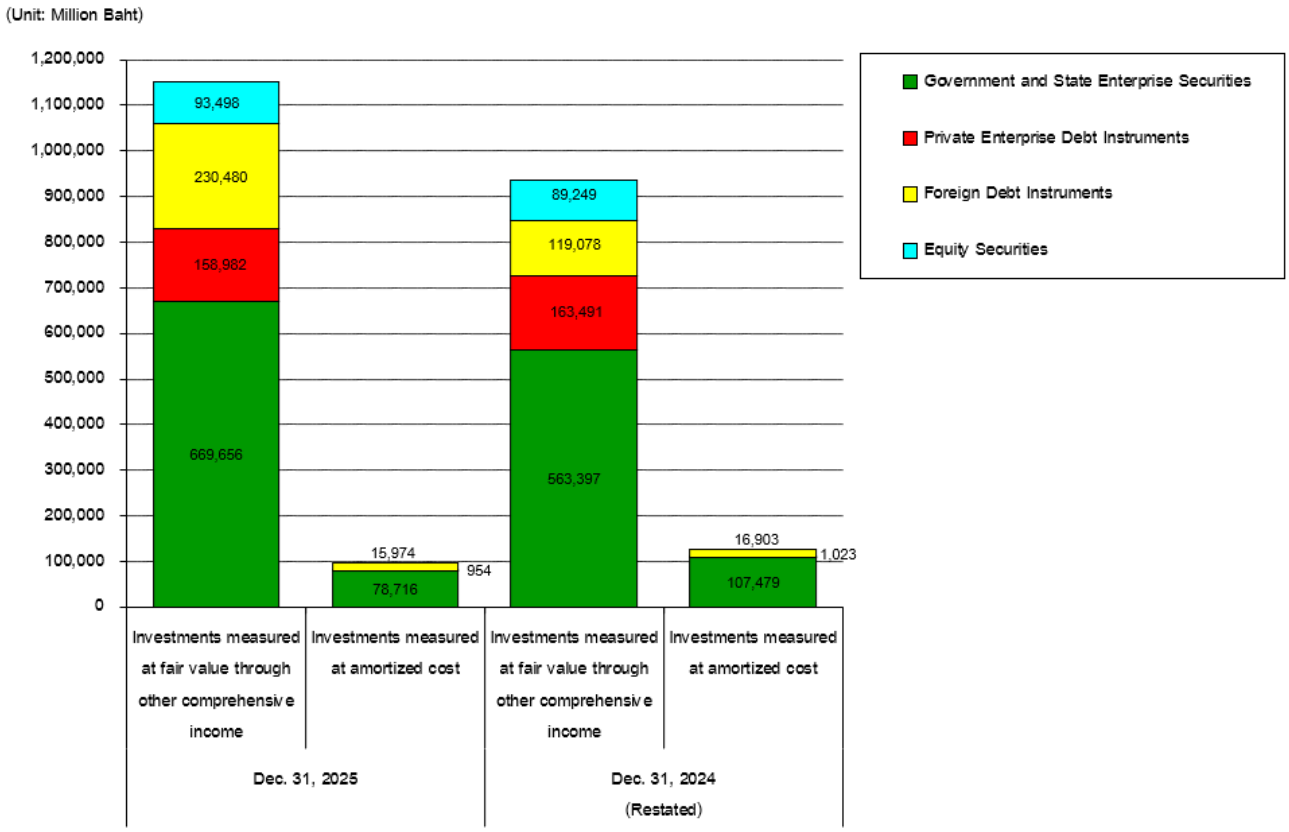


❑ Assets

At the end of 2025, KBank's consolidated assets totaled Baht 4,558,618 million, an increase of Baht 217,664 million or 5.01 percent from the end of 2024. The rise was due mainly to an increase in net investment and net interbank and money market items. Key details are as follows:

- Net investment totaled Baht 1,248,260 million, an increase of Baht 187,640 million or 17.69 percent from the end of 2024, in line with market condition expectation and interest rate trend.
- Net interbank and money market items totaled Baht 559,861 million, an increase of Baht 37,132 million or 7.10 percent from the end of 2024, due mainly to KBank's liquidity management.

Investment in Securities



❑ Liabilities and Equity

Our consolidated liabilities at the end of 2025 amounted to Baht 3,884,850 million, an increase of Baht 189,558 million or 5.13 percent from the end of 2024. The rise was mainly attributable to increased deposits and interbank and market items. Significant changes in our consolidated liabilities included:

- Deposits totaled Baht 2,850,387 million, an increase of Baht 131,712 million or 4.84 percent from the end of 2024, mainly as a result of the increase in savings and current deposits while fixed deposits declined.
- Interbank and money market items amounted to Baht 207,482 million, an increase of Baht 35,338 million or 20.53 percent from the end of 2024 in line with KBank's liquidity management.

Equity (attributable to KBank) at the end of 2025 amounted to Baht 581,146 million, an increase of Baht 12,421 million or 2.18 percent from the end of 2024, derived mainly from operating profit amounting Baht 49,565 million. However, the figure declined due to payment of dividend from the 2024 operating results and redemption of subordinated financial instruments without noteholders' representatives, qualifying as Additional Tier-1 capital, totaling Baht 15,549 million.

❑ Relationship between Sources and Uses of Funds

As of December 31, 2025, the funding structure as shown in the consolidated financial statement comprised Baht 3,884,850 million in liabilities and Baht 673,768 million in equity, of which Baht 581,146 million was equity (attributable to equity holders of the Bank), resulting in a debt-to-equity ratio of 6.68. The main source of funds on the liabilities side was deposits, which equaled Baht 2,850,387 million or 62.53 percent of the total source of funds as of December 31, 2025. Meanwhile, interbank and money market items as well as debt issued and borrowings accounted for 4.55 percent and 1.41 percent of the total source of funds, respectively.

As of December 31, 2025, KBank and subsidiaries' major use of funds was loans to customers which amounted to Baht 2,476,647 million, resulting in loan-to-deposit ratio of 86.89 percent. As for the remaining liquidity, KBank invested in various selections of liquid assets, such as interbank and money market items, financial assets measured at fair value through profit or loss, and investments in securities.

KBank and Subsidiaries' Major Sources and Uses of Funds

(Unit: Million Baht)

Period	Deposits				Loans and Accrued Interest Receivables [1]			
	Dec.31, 2025	Percent	Dec.31, 2024	Percent	Dec.31, 2025	Percent	Dec.31, 2024 (Restated)	Percent
≤ 1 Year	2,785,465	97.72	2,654,777	97.65	1,080,086	43.28	1,135,088	45.40
> 1 - 5 Years	64,922	2.28	63,898	2.35	548,725	21.98	540,987	21.63
> 5 Years	-	-	-	-	866,956	34.74	824,280	32.97
Total	2,850,387	100.00	2,718,675	100.00	2,495,767	100.00	2,500,355	100.00

[1] Including loans to customers and accrued interest and undue interest receivables

As of December 31, 2025, deposits with maturities within one year were larger than loans with remaining maturities within one year. This is considered normal for commercial banks in Thailand, which mainly mobilized short-term funds for long-term loan extension or investment. However, the majority of deposits at KBank were renewed continually upon maturities. As a result, most deposits remained with KBank longer than their stated contractual term, thereby helping to support funding for KBank's lending.

❑ Contingent Liabilities and Commitments

Contingent liabilities and commitments of the Bank and its subsidiaries consisted of:

(Unit : Million Baht)

	Dec. 31, 2025	Dec. 31, 2024	Dec. 31, 2023
Avals to bills and guarantees of loans	15,437	16,728	21,064
Liability under unmatured import bills	91,396	45,096	48,174
Letters of credit	15,751	28,914	25,054
Other contingencies	705,406	718,307	729,551
Total	827,990	809,045	823,843

4.3 Loans and Deposits

❑ Loans

As of December 31, 2025, KBank's consolidated outstanding loans stood at Baht 2,476,647 million, decreasing by Baht 7,048 million or 0.28 percent, compared to Baht 2,483,695 million as of December 31, 2024.

Loan Portfolio by Type of Customer and Credit Amount

(Unit: Million Baht)

	Dec. 31, 2025		Dec. 31, 2024	
	Corporate Business[1)]	Retail Business[2)]	Corporate Business[1)]	Retail Business[2)]
Loans	1,595,463	776,370	1,668,973	687,520

Notes: 1) "Corporate Business" refers to registered companies, certain private individual business customers, government agencies, state enterprises, as well as financial institutions, etc. KBank provides a variety of financial products and services to them, e.g., long-term and working capital loans, letters of guarantee, trade finance solutions, syndicated loans, cash management solutions and value chain solutions.

2) "Retail Business" refers to private individual customers using KBank products and services, e.g., deposit accounts, debit cards, credit cards, personal loans, housing loans, financial advisory services, investment products and other transactional services.

KBank has a policy of prudent credit extension, accounting for the Thai economic situation and the highly competitive market. Focus was on improvement of loan products and services, especially through adoption of data analytics and technology for enhanced efficiency in lending. The Bank aimed to acquire customers with sound debt servicing ability who are interested in borrowing, in order to generate additional income for KBank under risk-adjusted pricing strategies and efficient risk management.

Corporate Business Loans

As of the end of 2025, corporate business loans (corporates and SMEs) decreased by Baht 73,510 or 4.40 percent compared to 2024, due to a contraction in SME loans, reflecting the gradual pace of economic recovery. Corporate loans increased primarily in the hotels and restaurants, petroleum and petrochemical, and pharmaceutical and hospital industries, while certain other industries experienced a decline. Nevertheless, the

Bank continues to pursue a prudent loan growth strategy by focusing on high-quality customers, leveraging both financial and non-financial transactional data for risk assessment, and applying risk-based pricing appropriately.

Retail Business Loans

As of the end of 2025, retail loans increased by Baht 88,850 million or 12.92 percent compared to 2024, driven primarily by growth in housing loans. In contrast, credit card and personal loans declined, in line with economic conditions and the Bank's prudent lending policy under a more effective credit underwriting process. This approach took into account the gradually growing economy and persistently high household debt, together with a continued focus on lending to existing customers with good repayment histories.

❑ Deposits

Deposits Classified by Type of Deposit Account

(Unit: Million Baht)

	Percent of Total Deposits	Deposits		Change	
		Dec.31, 2025	Dec.31, 2024	Increase (Decrease)	Percent
Total Deposits	**100.00**	**2,850,387**	**2,718,675**	**131,712**	**4.84**
Current accounts	6.32	180,225	163,328	16,897	10.35
Savings accounts	75.70	2,157,593	2,016,813	140,780	6.98
Fixed-term deposit accounts	17.98	512,569	538,534	(25,965)	(4.82)

In 2025, overall competition in the deposit market remained at a low level, as Thailand's economy continued to face pressure from both structural challenges and negative factors throughout the year. This affected the overall banking sector, with commercial bank loan growth continuing to decline compared to the previous year. Additionally, the policy rate is expected to decline further in 2026, following cumulative cuts of 1.00 percent in 2025 to 1.25 percent at the end of 2025. Under these conditions, some commercial banks discontinued special fixed-deposit promotional programs, while others continued to offer such products at lower interest rates.

Accordingly, the Bank lowered both lending and deposit interest rates in line with the policy rate cuts in Thailand. The savings interest rate for corporate clients was reduced by 0.20 percent per annum, the K-eSavings interest rate was cut by 0-0.10 percent per annum, and the fixed deposit interest rates for both retail and corporate clients were reduced by 0.35-1.05 percent per annum. Meanwhile, the Minimum Loan Rate (MLR) was cut by 0.53 percent per annum, the Minimum Overdraft Rate (MOR) was reduced by 0.90 percent per annum, and the Minimum Retail Rate (MRR) was reduced by 0.50 percent per annum.

The Bank manages deposits with a focus on maintaining adequate liquidity and appropriate cost management by offering deposit products that meet the needs and lifestyles of different customer segments. Towards the end of the year, the Bank introduced a 30-month Super Senior Fixed Deposit for retired customers, promoted through the Bank's Facebook marketing channel. The product offers monthly interest payments, along

with accident insurance benefits equal to the deposit balance in the account of up to Baht 3 million and accident medical expense coverage of up to Baht 10,000 per incident, with no limit on the number of claims.

At the same time, KBank continued to place emphasis on managing the proportion of current accounts and savings accounts (CASA) originating from customers' main operating accounts, which are considered high-quality deposits. As of the end of 2025, KBank's total deposits from CASA increased by Baht 157,677 million, or 7.23 percent, compared to the end of 2024. The increase was driven by deposits from both corporate and retail clients. This brought the CASA-to-total-deposits ratio to 82.02 percent.

4.4 Treasury Operations

KBank adopted an investment portfolio management approach that prioritizes maintaining liquidity to facilitate changes in targeted core businesses. The Bank has aligned its investment strategy with prevailing economic conditions and movements in domestic and international money and capital markets. Accordingly, the Bank managed its overall bond holdings within the investment portfolio by increasing the average maturity of held bonds to a cautiously high level, in line with the expected downward trend in interest rates abroad and in the country, while appropriately managing risks to mitigate potential impacts from interest rate volatility.

In 2025, the average interest rate for overnight interbank borrowing was 1.72 percent per annum, a decline from the average rate of 2.41 percent per annum during 2024, in line with the policy rate.

Additionally, KBank adopted a liquidity management approach within an acceptable risk framework and with appropriate cost management. It emphasizes funding through deposits, particularly deposits from current accounts and savings accounts that are regularly used for customer transactions, which are considered high-quality deposits. For foreign currency liquidity management, KBank focused on the strategy based on matching maturity to help mitigate risks associated with securing liquidity in non-core currencies of KBank.

❑ Liquid Asset Ratio

KBank maintains average fortnightly current deposits at not less than 1.00 percent of total deposits and certain types of borrowings in accordance with the Bank of Thailand's regulations. As of December 31, 2025, KBank's deposits at the Bank of Thailand and cash at cash center averaged Baht 29,907 million.

4.5 Operating Performance of K Companies and Muang Thai Life Assurance PCL

Operating Performance of K Companies* and Muang Thai Life Assurance PCL

(Unit: Million Baht)

Company	Performance Measurement	2025	2024	2023
KASIKORN ASSET MANAGEMENT CO., LTD. (KAsset)	Assets under management	1,902,688	1,715,068	1,573,324
	Market Share (Percent)	18.40	17.79	18.01
KASIKORN SECURITIES PCL (KSecurities)	Trading Volume	548,316	588,622	655,703
	Market Share (Percent)	2.94	2.77	2.73
KASIKORN LEASING CO., LTD. (KLeasing)	Outstanding Loans	124,659	125,840	153,393
KASIKORN FACTORY AND EQUIPMENT CO., LTD. (KF&E)	Outstanding Loans	24,679	24,471	23,720
Muang Thai Life Assurance PCL (MTL)	Net Premiums Earned	74,479	71,817	70,978
	Market Share (Percent)	11.01	10.98	11.21

Note: * KResearch is not included, since this company does not engage in financial business.

During 2025, K Companies and Muang Thai Life Assurance PCL (MTL) attained satisfactory qualitative and quantitative operating performance. This achievement was attributable to the close cooperation between KBank and K Companies, as well as MTL. Key details are as follows:

KASIKORN ASSET MANAGEMENT CO., LTD. (KAsset): At the end of 2025. KAsset maintained the number-one position in the mutual fund business as gauged by assets under management (AUM), with a market share of 22.6 percent. Its total market share of AUM across all investment products stood at 18.40 percent. The company recorded the highest net fund inflows in the market, accounting for 36.5 percent of total net inflows across the industry. It was also a market leader in fixed-income funds, balanced funds, tax-deductible funds, and foreign investment funds. This strong performance was driven by strategic cooperation with a new partner, J.P. Morgan Asset Management, in launching KAsset Capital Market Assumptions (KCMA) 2025 – the first of its kind in Thailand. At the same time, the company continued its collaboration with Lombard Odier in formulating strategies and developing sustainable investment products in line with international standards.

In addition, the company introduced new fund products as alternative investment vehicles, including the Thai ESG Extra Fund, K-China Innovation PE 25A (K-CHINNO25A-UI), global equity funds, and global bond funds. It also enhanced sales channel efficiency by strengthening the capabilities of fund sales officers and expanding digital investment platforms that are easily accessible, including the company's website, online media, and the K PLUS and K-My Funds applications, to support customers throughout both the pre- and post-investment stages.

KASIKORN SECURITIES PCL (KSecurities): In 2025, the company's securities trading volume totaled Baht 548,316 million, representing a market share of 2.94 percent. The company focused on maintaining high standards of customer service quality, by broadening the range of investment products to meet diverse customer interests,

developing a comprehensive online investment platform that provides timely, high-quality investment information and supports trading across multiple investment products. In addition, KSecurities continuously enhanced service quality, particularly through the ongoing development of investment consultants' capabilities.

KASIKORN LEASING CO., LTD. (KLeasing): As of the end of 2025, the company's outstanding loans totaled Baht 124,659 million, a decline of 0.94 percent from the previous year, which outperformed the industry average contraction of 6.93 percent. The proportion of clean-energy vehicles in the portfolio increased, in line with market trends and KASIKORNBANK FINANCIAL CONGLOMERATE's sustainability policy. The company focused on balancing income and expenses by raising yields on new loans, enhancing productivity through technology, while also closely monitoring asset quality in line with responsible lending practices.

The company also continued to advance digital innovations to strengthen business and enhance customer experience, including (1) K EV Shop platform, which promotes green finance to facilitate the transition to a low-carbon economy; (2) K-OK platform, designed to enhance the customer experience in applying for both new and used car loans, allowing customers to independently check their preliminary credit limit, expanding customer access without increasing the company's cost burden; (3) LINE OA platform, upgrading the KLeasing LINE Official Account to serve as a primary digital channel for comprehensive customer engagement; and (4) Top-up Loans, offering to existing auto hire-purchase loan customers, aimed at retaining clients with good repayment records in line with a quality growth strategy.

KASIKORN FACTORY AND EQUIPMENT CO., LTD. (KF&E): At the end of 2025, KF&E's outstanding equipment leasing was Baht 24,679 million. In collaboration with KBank, the company offered "Green Leasing" to businesses in the clean energy and/or renewable energy sectors, i.e., K-Energy Saving Guarantee Program (Solar Rooftop), EV Charging Loan, and financial accommodation for investments in machinery for other types of renewable energy. These initiatives are in line with the company's goals of reducing environmental impact and promoting energy conservation. Meanwhile, the company maintained good relationships with partners who are machinery dealers in other industries.

Muang Thai Life Assurance PCL (MTL): In 2025, the company held a 16.23 percent market share of total premiums in bancassurance business, ranking second in the industry, and a 20.53 percent market share of new life insurance premiums sold through the bancassurance channel, ranking first in the industry. In collaboration with KBank, the company developed a broad range of life and health insurance products to expand protection options tailored to the individual needs of all customer segments. These offerings include life insurance products for wealth transfer, life and health insurance, health and critical illness insurance, retirement-oriented life insurance, and credit life insurance for business loan customers, together with accident and critical illness coverage, as well as Car Shield, a life insurance product that covers vehicle installment liabilities.

In addition, the company prioritizes customer benefits throughout the entire process, from pre-sale and point-of-sale to after-sales service, through the following initiatives: (1) Enhancing the insurance application process through the use of e-Application systems on tablet devices for offering bancassurance products; (2)

Developing premium services to equip customers with investment insights (Unit-Linked Portfolio Review) and portfolio management support (MTL Portfolio Management Service); (3) Providing policy renewal notifications and self-service insurance premium payment channels via the K PLUS and MTL Click applications; and (4) Working with KBank to enhance after-sales services to strengthen customer confidence and foster long-term relationships. KBank also established a dedicated service unit to assist customers with health insurance coverage who require hospitalization.

4.6 Capital Requirements

Placing great emphasis on capital as a significant funding source for business operations that also reflects the financial strength and credibility of a financial institution, KBank has adopted capital management framework in line with international sound practice. KBank's Capital Management Sub-committee is responsible for planning and overseeing capital adequacy, while the Risk Oversight Committee supervises capital management of the Financial Conglomerate for enhanced efficiency. Moreover, KBank has forward-looking capital planning for assessment of capital adequacy based on economic outlook, business plans and regulatory changes while also regularly undertaking stress tests to ensure that the Bank has adequate capital for operations under normal and crisis situations.

As of the end of 2025, KASIKORNBANK FINANCIAL CONGLOMERATE, under the Basel III capital requirements, had capital funds of Baht 581,295 million, consisting of Baht 525,005 million in Tier-1 capital (Baht 514,056 million in Common Equity Tier-1 capital) and Baht 56,290 million in Tier-2 capital. The capital adequacy ratio was 20.35, which was above the Bank of Thailand's minimum requirement and buffer requirement of 12.00 percent. Meanwhile, Tier-1 capital ratio was 18.38 percent (Common Equity Tier-1 ratio was equal to 18.00 percent), all of which were above the BOT's minimum requirement and buffer requirement of 9.50 percent and 8.00 percent, respectively.

❑ Overview of Capital Requirements

After the global financial crisis, the Basel Committee on Banking Supervision (BCBS) undertook a great effort to revise capital supervision framework (Basel III) to reinforce the stability of the global banking system. The framework is intended to increase financial institutions' stability and ability to absorb losses that may be incurred. Financial institutions are required to maintain higher capital quality and quantity. The Bank of Thailand has adopted Basel III in Thailand. KBank's and the Financial Conglomerate's capital levels are above regulatory requirements.

Current capital requirement includes:

1. Minimum Capital Requirement: Total capital ratio of KBank and the Financial Conglomerate must be maintained at not less than 8.50 percent, comprising Common Equity Tier-1 ratio (CET1 ratio) and Tier-1 ratio at not less than 4.50 percent and 6.00 percent of total risk weighted asset, respectively.
2. Capital Buffer: It consists of two parts, namely (1) conservation buffer, with CET1 ratio of more than 2.50 percent of total risk weighted assets in addition to minimum capital ratio; and (2) Domestic

Systemically Important Banks (D-SIBs) to maintain the additional CET1 of 1.00 percent of total risk weighted assets.

Capital Adequacy Ratio[1)]

- **KASIKORNBANK FINANCIAL CONGLOMERATE[2)]**

(Unit: Percent)

Capital Adequacy Ratio	Basel III					
	Minimum Requirements including Buffer Requirement[3)]	Dec. 31, 2025	Sep. 30, 2025	Jun. 30, 2025	Mar. 31, 2025	Dec. 31, 2024 (Restated)
Tier 1 Capital Ratio	9.50	18.38	19.62	18.68	18.55	18.37
Common Equity Tier 1 Ratio	*8.00*	*18.00*	*18.65*	*17.71*	*17.58*	*17.41*
Tier 2 Capital Ratio	-	1.97	1.98	1.98	1.97	1.98
Capital Adequacy Ratio	12.00	20.35	21.60	20.66	20.52	20.35

- **The Bank**

(Unit: Percent)

Capital Adequacy Ratio	Basel III					
	Minimum Requirements including Buffer Requirement[3)]	Dec. 31, 2025	Sep. 30, 2025	Jun. 30, 2025	Mar. 31, 2025	Dec. 31, 2024
Tier 1 Capital Ratio	9.50	17.57	18.84	17.86	17.65	17.51
Common Equity Tier 1 Ratio	*8.00*	*17.16*	*17.80*	*16.83*	*16.63*	*16.49*
Tier 2 Capital Ratio	-	2.04	2.06	2.05	2.04	2.04
Capital Adequacy Ratio	12.00	19.61	20.90	19.91	19.69	19.55

Notes: [1)] Excluding net profit of each period, which under the Bank of Thailand's regulations, net profit in the first half-year period is to be counted as capital after approval by the Board of Directors per KBank's regulations. Net profit in the second half-year period is counted as capital after approval of the General Meeting of Shareholders. However, whenever a net loss occurs, the capital must be immediately reduced at the end of period.

[2)] KASIKORNBANK FINANCIAL CONGLOMERATE means the company under the Notification of the Bank of Thailand Re: Consolidated Supervision, consisting of KASIKORNBANK, K Companies and subsidiaries operating in support of KBank, Phethai Asset Management Co., Ltd. and other subsidiaries within the permitted scope of the BOT to be a financial conglomerate.

[3)] Bank of Thailand required that the Bank maintain two capital buffers as follows:

- Conservation Buffer: BOT required that KBank maintain an additional Common Equity Tier 1 at more than 2.50 percent.
- Domestic Systemically Important Banks Buffer (D-SIBs Buffer): BOT required that KBank as a D-SIB maintain an additional Common Equity Tier 1 at 1.00 percent of total risk weight assets.

❑ Risk-Adjusted Performance Measurement

KBank continued to implement Value-Based Management (VBM), which is a management practice comprising two main components, Corporate Value Creation and Corporate Governance. The VBM has been

applied to business undertaking with the aim of achieving the highest value creation for shareholders over the long-term in accordance with business strategies and goals.

For credit risk management, the Bank has adopted risk-adjusted return throughout the credit process, starting from the approval of new credit, to assess the ability of portfolios in creating value per the established business target. Analysis of asset quality and risk-adjusted return of newly approved credit is conducted to help business units adjust their strategies appropriately for changing economic circumstances, focusing on customer groups or products that create appropriate risk-adjusted return within the Bank's risk appetite. Moreover, KBank has monitored and measured performance that is consistent with and linked to various management aspects to ensure efficient resource management, and risk-adjusted performance measurement has been applied with each business units so as to attain the highest efficiency in capital usage.

4.7 Credit Ratings

At the end of December 2025, KBank's credit ratings given by Standard & Poor's and Fitch Ratings remained unchanged from the end of December 2024. However, Moody's Investors Service revised down the outlook on the long-term credit ratings of Thai commercial banks, including KBank, to "Negative" from "Stable" on April 30, 2025, following its revision of the outlook on Thailand's Baa1 sovereign rating to "Negative" from "Stable" on 29 April 2025. This reflects heightened risks to Thailand's economy and fiscal position amid US tariff measures and global economic uncertainty.

Details of the Bank's credit ratings are shown in the following table.

KASIKORNBANK's Credit Ratings

Credit Ratings Agency		Dec. 31, 2025	Dec. 31, 2024
Moody's Investors Service*			
Foreign Currency			
Outlook		Negative	Stable
Long-term	- Senior Unsecured Notes	Baa1	Baa1
	- Deposit	Baa1	Baa1
	- Counterparty Risk	Baa1	Baa1
	- Subordinated Debt	Ba1	Ba1
	- Non–Cumulative Preferred Stock	Ba2	Ba2
Short-term	- Debt / Deposit	P-2	P-2
	- Counterparty Risk	P-2	P-2
Baseline Credit Assessment		baa2	baa2
Domestic Currency			
Outlook		Negative	Stable
Long-term	- Deposit	Baa1	Baa1
	- Counterparty Risk	Baa1	Baa1
Short-term	- Debt / Deposit	P-2	P-2
	- Counterparty Risk	P-2	P-2

Credit Ratings Agency	Dec. 31, 2025	Dec. 31, 2024
Standard & Poor's*		
Global Scale Ratings		
Outlook	Stable	Stable
Long-term Counterparty Credit Rating	BBB	BBB
Long-term Certificate of Deposit	BBB	BBB
Short-term Counterparty Credit Rating	A-2	A-2
Short-term Certificate of Deposit	A-2	A-2
Senior Unsecured Notes (Foreign Currency)	BBB	BBB
Fitch Ratings*		
International Credit Ratings (Foreign Currency)		
Outlook	Stable	Stable
Long-term Issuer Default Rating	BBB	BBB
Short-term Issuer Default Rating	F2	F2
Short-term Issuer Default Rating (xgs)	F3(xgs)	F3(xgs)
Senior Unsecured Notes	BBB	BBB
Viability	bbb	bbb
Subordinated Debt (Basel III-compliant Tier 2 securities)	BB+	BB+
Government Support	bbb	bbb
National Credit Ratings		
Outlook	Stable	Stable
Long-term	AA+(tha)	AA+(tha)
Short-term	F1+(tha)	F1+(tha)

Note: * The base levels for investment grade on long-term credit ratings for Moody's Investors Service, Standard & Poor's, and Fitch Ratings are Baa3, BBB- and BBB-, respectively. For short-term credit ratings, the base levels for investment grade as viewed by these three agencies are P-3, A-3, and F3, respectively.

5. KASIKORNBANK's Investments in Subsidiaries, Associated Companies and Joint Ventures

❑ Subsidiaries, Associated Companies and Joint Ventures

The definitions of subsidiaries, associated companies and joint ventures are in alignment with those specified in the Thai Financial Reporting Standards, which KBank discloses in the Notes to the Financial Statements.

❑ Investment Policy

Our investment policy can be summarized as:

- **Strategic Investments**

KBank invests in companies for strategic benefits. KBank and such companies collaborate in the review of business strategies and synergies through the sharing of various resources, equipment, tools and channels to efficiently meet the needs of customers, with minimal operational redundancies.

- **Outsourcing Investments**

KBank invests in companies that support our operations. These are companies providing services in place of KBank units that are not our core business and would be relatively inflexible. The Bank's executives are appointed as directors of these companies to oversee their management and operating policies. These directors are assigned to maintain control over such firms' operations, which helps to ensure that their undertakings are in accordance with standardized service quality and maximized efficiency, and are thus of benefit to KBank.

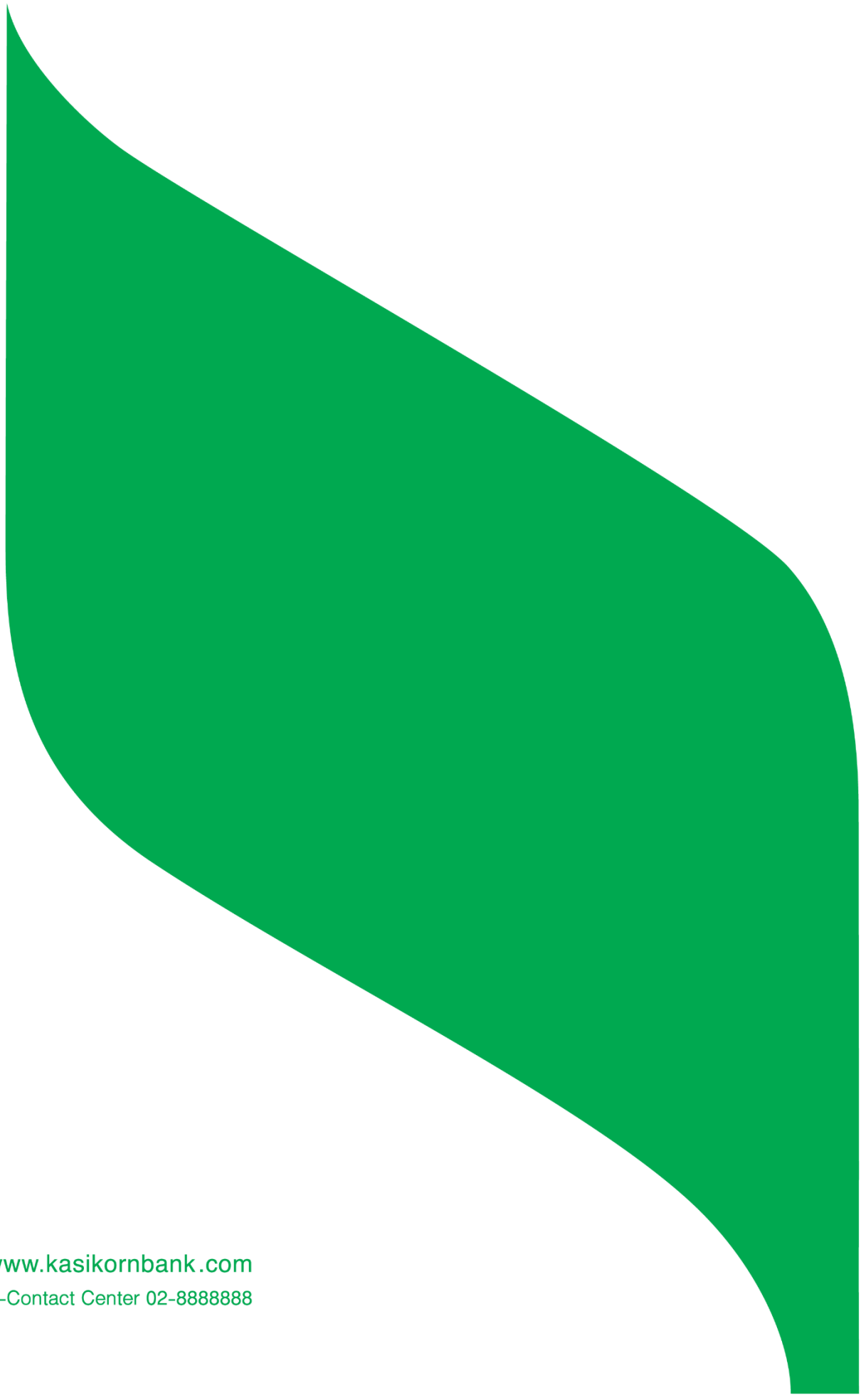
In 2025, KBank expanded its investment in the following companies which are part of KASIKORNBANK FINANCIAL CONGLOMERATE:

1. **CREATIVE CLIMATE RESEARCH CENTER CO., LTD.**: The Bank indirectly holds 100 percent of total shares through KOP50 CO., LTD., with registered capital totaling Baht 4,250,000. The company engages in the business of providing educational services and conducting academic research in climate change and sustainability (Climate Research), and offering knowledge transfer services related to climate change and sustainability management in various forms (Training Course).
2. **Atome (Thailand) CO., LTD.**: The Bank indirectly holds 50 percent plus 1 share of total shares outstanding through KASIKORN INVESTURE CO., LTD., with registered capital totaling Baht 21,250,100. The company conducts Buy Now, Pay Later (BNPL) lending services through the Company's channels pursuant to the Civil and Commercial Law, offers product referral services of KASIKORNBANK FINANCIAL CONGLOMERATE to customers via the company's channels, and performs preliminary credit analysis for unsecured loans for KASIKORNBANK FINANCIAL CONGLOMERATE.

3. **JAI BROKER CO., LTD.**: The Bank indirectly holds 100 percent of total shares through KASIKORN INVESTURE CO., LTD. and NGERN HAI JAI CO., LTD., with registered capital totaling Baht 3,000,000. The Company engages in the business of life insurance and non-life insurance brokerage

Disclaimer

Certain statements shown in this report are forward-looking statements in respect of the financial position or the performance of KASIKORNBANK PUBLIC COMPANY LIMITED ("KBank"). KBank has prepared such forward-looking statements based on several assumptions, and has relied on financial and other information available from public sources as of the date such statements were made. Statements containing words such as "expect", "believe", "estimate", etc. and other similar expressions, are considered as forward-looking statements which involve uncertainties and are subject to changes at any time due to future events, including but not limited to, changes in global/national economic, political and regulatory environment. Accordingly, the readers or the recipients of information shall carefully review this report and make their own independent decision as well as thoroughly evaluate such fact or information which may have changed prior to making any investment or entering into any transaction.



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